GOOGL / ALPHABET / 21 OCTOBER 2026

Alphabet: paid AI use, integrated economics and a funding constraint

Google can capture more spending when its distribution, models, software and custom chips turn AI activity into paid advertising, subscriptions and Cloud use. The opportunity depends on useful outcomes for advertisers and enterprise customers, reliable capacity, and retained profit after hardware, power, people and capital costs.

The central analytical distinction is how Google earns the money. Hosted workloads use Google-owned infrastructure over time. Customer-owned TPU systems generate hardware and associated software or support revenue when the relevant obligations are met. Backlog supports both flows. The forecast separates them and pays their different costs.

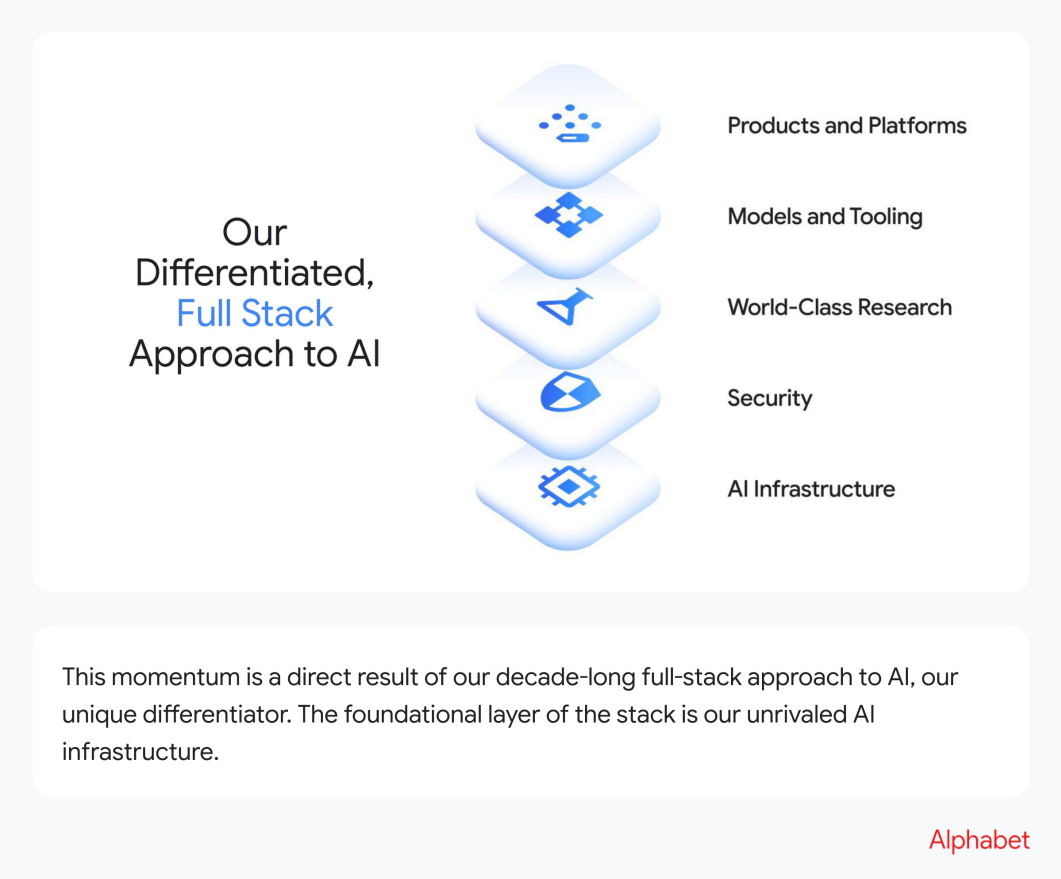
For the selected Q4 2027 valuation quarter, the model produces about USD 363 per share from about USD 224,405 million of operating profit across Q4 2027 through Q3 2028. The convention is 20x four-quarter operating profit. This operating ceiling is conditional on execution and financing.

Research snapshot	Current assessment
Company / listing	Alphabet / NASDAQ GOOGL
Research date	21 October 2026
Latest actual	Q2 ended 30 June 2026; released 22 July
Next results	28 October 2026 at 4:30 pm Toronto; Q3 actuals are unavailable at this cutoff
Earnings convention	Current quarter plus next three quarters of operating profit, 20x
Starting-quarter denominator	12,347,458,250 weighted-basic / treasury-method / preferred-equivalent proxy shares
Selected earnings window	Q4 2027 through Q3 2028
Analytical score / Excel Base	83 analytical; protected Excel Base 88
Confidence	Reported group totals HIGH; future costs, product allocations, timing and probabilities LOW

Funding is a central limitation. The illustrative liquid-capital path reaches about negative USD 68 billion in Q4 2029 and ends about negative USD 63 billion. This is a future funding requirement under the assumptions, before incompletely allocated debt maturities and contingencies. It is not an actual October cash balance or proof that the expansion is financed.

Financial tables use USD million unless stated otherwise. Reader displays are whole numbers; exact inputs, probabilities, share arithmetic and calculations remain in the linked model. Independently rounded rows can differ from displayed totals. Every future quarter is a LOW model estimate, not reported results or issuer guidance.

The product chain that can create retained profit



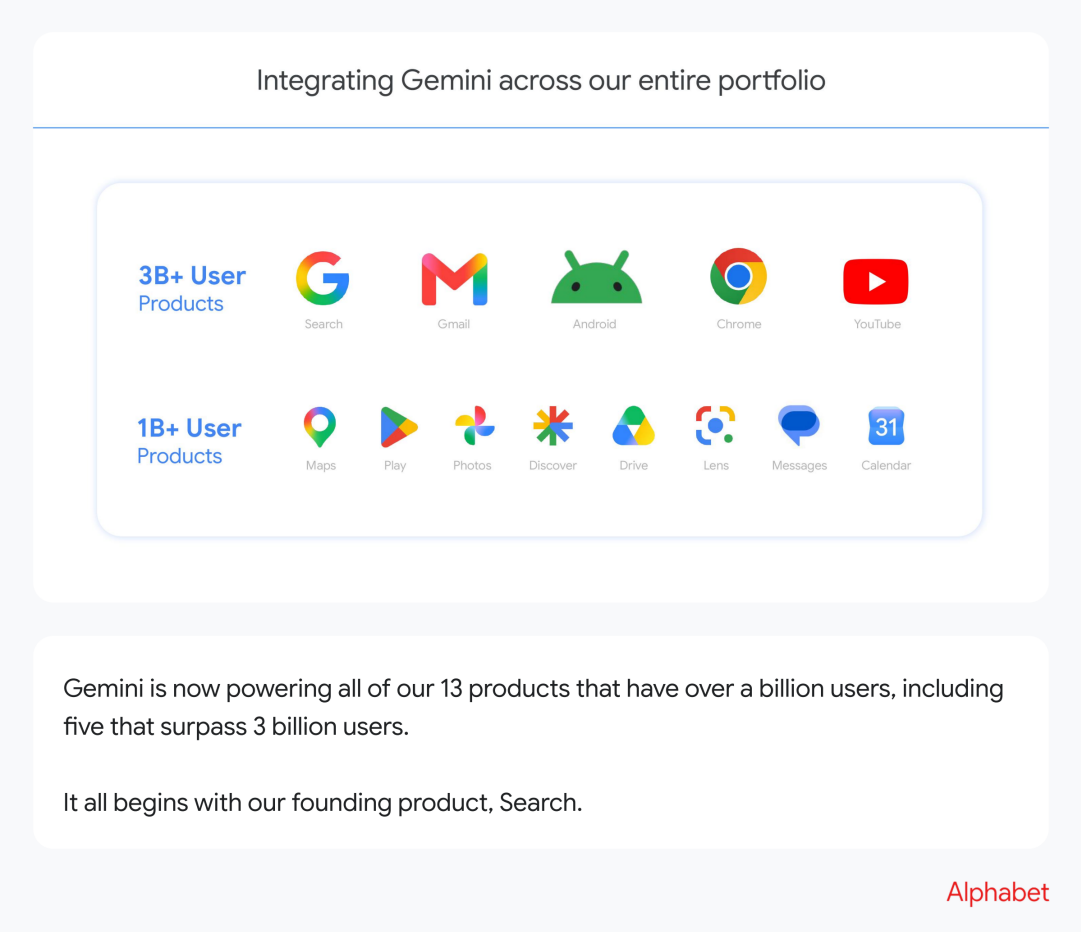
June investor presentation: the integrated chip, infrastructure, model and product stack. The diagram describes capabilities and integration; it does not measure incremental revenue. Source: original issuer source, 2026-06-02, PDF page 15. Original image labels and units are preserved.

Customer activity	Google revenue mechanism	Cost and competitive test
Commercial intent	Search and advertising help buyers and sellers find useful matches.	Traffic acquisition, serving costs, distribution terms and alternative discovery tools.
Video and creators	YouTube advertising and subscriptions reach audiences across devices.	Creator/content economics, competition and ad demand.
Consumer and enterprise software	Subscriptions, Workspace, platforms and devices monetize repeated use.	Product development, support, channels and competing software.
Hosted Cloud / AI	Consumption, subscriptions, models, data and security software.	Owned depreciation, power, staff, rentals and realized price.
Customer-owned TPU systems	Hardware/software transfer plus installation, warranties and continuing support.	Chips, HBM, packaging, manufacturing, acceptance and support.

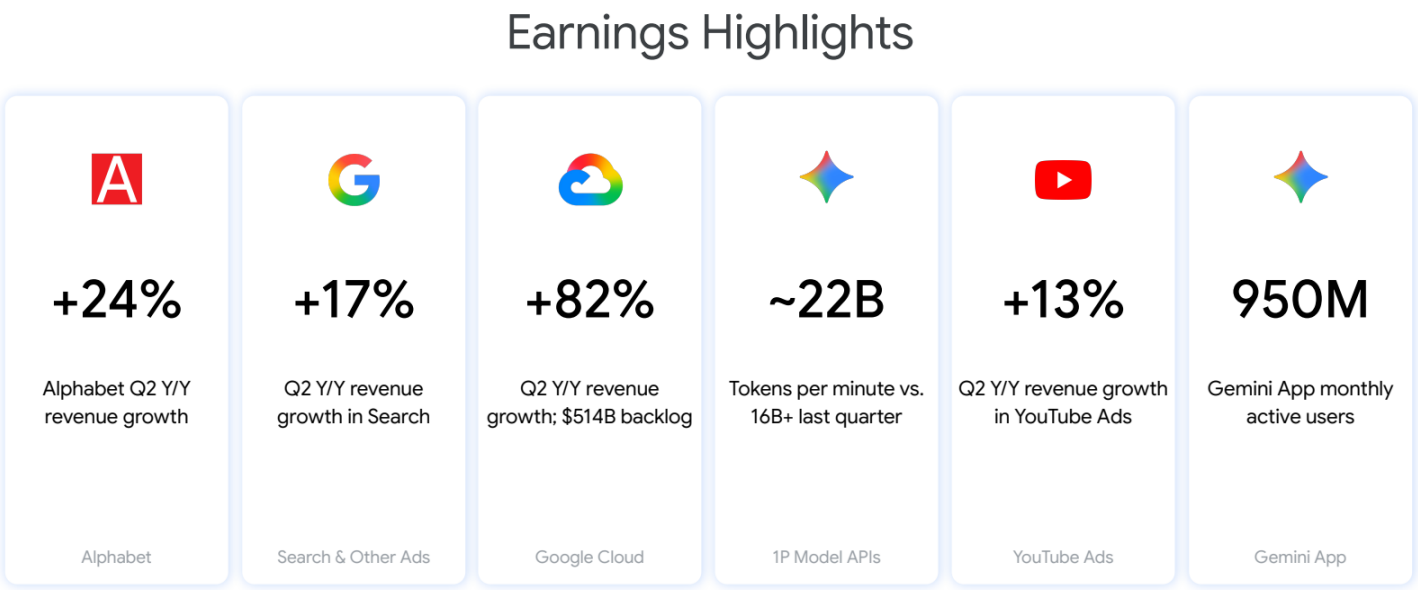
The same customer transaction can pass through several parts of this stack. That supports integration, while also creating overlap. A customer contract, a chip shipment and an infrastructure announcement cannot each become a separate full revenue pool.

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Distribution creates the opportunity; competition tests conversion



June presentation: products and platforms give Google a broad route to consumers and enterprises. Product reach is an adoption measure and not an invoice. Source: original issuer source, 2026-06-02, PDF page 29. Original image labels and units are preserved.



Q2 business adoption highlights. Users, tokens, enterprise participation and advertising outcomes have different denominators; none is converted directly into another whole revenue pool. Source: original issuer source, 2026-07-22, PDF page 4. Original image labels and units are preserved.

Search, Android, Chrome, YouTube, Workspace and Cloud put Google close to user intent and enterprise workflows. Integrated models and TPUs can improve response quality and deployment economics. The investment case requires customers to use and pay for that capability at a rate that exceeds the associated serving and development costs.

The competitive field spans general and vertical search, e-commerce, advertising, cloud platforms, AI model providers, streaming, social referrals, hardware and workspace tools. Customers can choose rival clouds, Nvidia systems, other custom chips and alternative software. Open software can reduce TPU porting friction while also lowering lock-in. The model retains paid capacity and shared development costs when conversion is weaker. Annual report competition discussion.

Latest reported results and the operating statement

Reported financial line	Q1 2026	Q2 2026
Revenue	109,896	119,796
Cost of revenue	41,271	45,943
Derived gross profit	68,625	73,853
R&D	17,032	18,219
Sales and marketing	7,606	8,403
General and administration	4,291	6,461
Total operating expense	28,929	33,083
Operating profit	39,696	40,770
Operating cash flow	45,790	39,069
Cash capital expenditure	35,674	44,924
Free cash flow	10,116	-5,855
PPE depreciation	6,482	7,104

Alphabet Income Statement

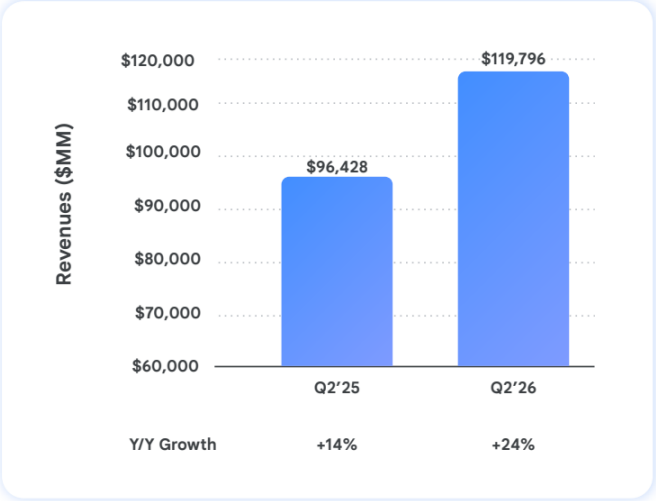
in Millions, except Percentages and EPS; unaudited

	Q2'25	Q2'26	Y/Y
Revenues	**$96,428**	**$119,796**	**24%**
Costs and Expenses:			
Cost of Revenues	39,039	45,943	18%
Research and Development	13,808	18,219	32%
Sales and Marketing	7,101	8,403	18%
General and Administrative	5,209	6,461	24%
Total Costs and Expenses	**65,157**	**79,026**	**21%**
Income from operations	**31,271**	**40,770**	**30%**
Other income (expense), net	2,662	97,983	3581%
Income before income taxes	33,933	138,753	309%
Provision for income taxes	5,737	26,560	363%
Preferred stock dividends	-	86	N/A
Net income available to common stockholders	**$28,196**	**$112,107**	**298%**
Diluted EPS per Common Share	**$2.31**	**$9.11**	**294%**

Q2 consolidated GAAP statement. Gross profit in this report is derived from reported revenue less reported cost of revenue; the issuer does not disclose product gross margins. Source: original issuer source, 2026-07-22, PDF page 5. Original image labels and units are preserved.

Alphabet Revenues and Operating Income

in Millions, except Percentages; unaudited





Q2 reported revenue and operating profit, including the dated legal charge. The actual accounting result remains distinct from the recurring comparison and future model. Source: original issuer source, 2026-07-22, PDF page 6. Original image labels and units are preserved.

Q2 is the latest reported quarter. Q3 and all later financial rows in this report are modeled. Investment gains and interest sit below operating profit and are excluded from the 20x operating-profit ceiling. SBC, ordinary legal costs, payroll and R&D remain operating costs. Q2 release; Q2 filing.

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The exact actual-to-normalized bridge

Q2 scope	Revenue	COGS	Gross profit	Opex	OP
Reported GAAP	119,796	45,943	73,853	33,083	40,770
Recurring comparison: remove dated principal only	119,796	45,943	73,853	31,583	42,270
Same scale, zero forward revenue hedge	119,690	45,943	73,747	31,583	42,164

Only USD 1,500 million of PriceRunner principal was in Services G&A and operating profit. The additional USD 581 million of interest and costs was below operating profit. Removing the entire rounded USD 2,100 million from OP would overstate recurring earnings. Ordinary legal and compliance expense remains in the cost base.

The USD 106 million Q2 hedge benefit is revenue and gross profit. Reported Alphabet-level operating reconciliation is a USD 5,789 million loss after that benefit. The derived gross shared expense is therefore USD 5,895 million. This allocation is not a separately reported gross-expense line. The future forecast assumes zero hedge benefit and creates no hedge cost.

- Revenues were $119.8 billion, an increase of 24% year over year, primarily driven by an increase in Google Services revenues of $12.0 billion, or 15%, and an increase in Google Cloud revenues of $11.1 billion, or 82%.
- Cost of revenues was $45.9 billion, an increase of 18% year over year, primarily driven by increases in depreciation expense, TAC, inventory and other costs, content acquisition costs, and other technical infrastructure operations costs.
- Operating expenses were $33.1 billion, an increase of 27% year over year, primarily driven by increases in employee compensation expenses, advertising and promotional activities, and depreciation expense.

Other Information:

- In June 2026, we issued a combination of Class A stock and Class C stock and mandatory convertible preferred stock for aggregate net proceeds of $49.6 billion, to be used for general corporate purposes, including capital expenditures to scale AI infrastructure and global compute. Additionally, we entered into an equity distribution agreement with certain sales agents to sell up to $40.0 billion of our Class A stock and Class C stock from time to time through an ATM Program. The proceeds of the ATM Program are primarily intended to be used to meet tax obligations associated with employee equity grants. As of June 30, 2026, we have not sold any shares under the ATM Program. For additional information regarding the equity capital raise and related capped call transactions, see Note 11 of the Notes to Consolidated Financial Statements included in Item 1 of this Quarterly Report on Form 10-Q.
- On July 2, 2026, the EC upheld its 2018 decision that certain provisions in Google's Android-related distribution agreements infringed European antitrust laws. The court imposed fine and interest of $5.2 billion, which was previously accrued, was paid in July 2026.
- In the second quarter of 2026, we issued senior unsecured notes for net proceeds of $20.3 billion, to be used for general corporate purposes.
- OI&E of $98.0 billion for the three months ended June 30, 2026 included net gains on equity securities of $99.0 billion, primarily related to unrealized gains in our equity securities portfolio from SpaceX and a private company.
- In the second quarter of 2026, we accrued $2.1 billion in legal charges related to a Stockholm Patent and Market Court decision regarding a private action brought against Google by PriceRunner (a subsidiary of Klarna). The principal damages of $1.5 billion were accrued in general and administrative expenses in our Google Services segment, and accrued interest and costs of $581 million was recognized in other income (expense), net.
- Operating cash flow was $39.1 billion for the three months ended June 30, 2026.
- Capital expenditures, which primarily reflected investments in technical infrastructure, were $44.9 billion for the three months ended June 30, 2026.
- As of June 30, 2026, we had 198,933 employees.

We are monitoring ongoing developments surrounding geopolitical tension, international trade, and the macroeconomic environment. As a result, we may experience direct and indirect effects on our business, operations, and financial results. Our past results may not be indicative of our future performance, and our financial results may differ materially from historical trends.

Financial Results

Q2 legal-cost discussion separates the PriceRunner operating principal from below-operating-profit interest and costs. Source: original issuer source, 2026-07-23, PDF page 47. Original image labels and units are preserved.

Reported segments and analytical product allocations

Q2 segment / reconciliation	Reported revenue	Reported OP	Actual cost scope
Google Services	94,540	39,544	USD 54,996 million total expense; includes COGS and operating expense.
Google Cloud	24,768	8,814	USD 15,954 million total expense; no reported Cloud COGS or GP.
Other Bets	382	-1,799	Loss-making aggregate; product detail is incomplete.
Revenue hedge / Alphabet-level	106	-5,789	Net operating reconciliation after revenue hedge.

Revenues, certain costs, such as costs associated with content and traffic acquisition, certain engineering activities, and inventory, as well as certain operating expenses are directly attributable to our segments. Due to the integrated nature of Alphabet, other costs and expenses, such as technical infrastructure and office facilities, are managed centrally at a consolidated level. These costs, including the associated depreciation, are allocated to operating segments as a service cost generally based on usage, headcount, or revenue.

Certain costs are not allocated to our segments because they represent Alphabet-level activities. These costs primarily include:

- certain AI-focused shared research and development activities, including employee compensation expenses and technical infrastructure usage costs associated with the development of our general AI models;
- corporate initiatives such as our philanthropic activities; and
- corporate shared costs such as certain finance, human resource, and legal costs, including certain fines and settlements.

Charges associated with employee severance and office space reductions are also not allocated to our segments. Additionally, hedging gains (losses) related to revenue are not allocated to our segments.

Our Chief Operating Decision Maker (CODM) is our Chief Executive Officer, Sundar Pichai. Our CODM uses segment operating income (loss) to allocate resources to our segments in our annual planning process and to assess the performance of our segments, primarily by monitoring actual results versus the annual plan. Our operating segments are not evaluated using asset information.

The following table presents revenue, profitability, and expense information about our segments (in millions):

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2026	2025	2026
Revenues:				
Google Services	$ 82,543	$ 94,540	$ 159,807	$ 184,177
Google Cloud	13,624	24,768	25,884	44,796
Other Bets	373	382	823	793
Hedging gains (losses)	(112)	106	148	(74)
Total revenues	$ 96,428	$ 119,796	$ 186,662	$ 229,692
Operating income (loss):				
Google Services	$ 33,063	$ 39,544	$ 65,745	$ 80,133
Google Cloud	2,826	8,814	5,003	15,412
Other Bets	(1,246)	(1,799)	(2,472)	(3,899)
Alphabet-level activities	(3,372)	(5,789)	(6,399)	(11,180)
Total income from operations	$ 31,271	$ 40,770	$ 61,877	$ 80,466
Supplemental information about segment expenses:				
Google Services:				
Employee compensation expenses	$ 11,306	$ 12,275	$ 22,643	$ 24,481
Other costs and expenses	38,174	42,721	71,419	79,563
Total Google Services costs and expenses	$ 49,480	$ 54,996	$ 94,062	$ 104,044
Google Cloud:				
Employee compensation expenses	$ 5,517	$ 6,933	$ 10,929	$ 13,376
Other costs and expenses	5,281	9,021	9,952	16,008
Total Google Cloud costs and expenses	$ 10,798	$ 15,954	$ 20,881	$ 29,384

Filed segment reconciliation and segment total expenses. Employee and other costs combine cost of revenue with operating expenses; they cannot be relabeled as reported segment COGS. Source: original issuer source, 2026-07-23, PDF page 41. Original image labels and units are preserved.

All seven product gross-profit allocations below are LOW analytical estimates. Their sums reconcile exactly to the observed group cost of revenue and operating statement. Google Services overhead remains at segment level; no invented product operating-profit allocation is presented. Shared frontier-model development remains paid at Alphabet level.

Search: useful intent and the price-volume test

Revenues

The following table presents revenues by type (in millions):

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2026	2025	2026
Google Search & other	$ 54,190	$ 63,271	$ 104,892	$ 123,670
YouTube ads	9,796	11,055	18,723	20,938
Google Network	7,354	7,303	14,610	14,274
Google advertising	71,340	81,629	138,225	158,882
Google subscriptions, platforms, and devices	11,203	12,911	21,582	25,295
Google Services total	82,543	94,540	159,807	184,177
Google Cloud	13,624	24,768	25,884	44,796
Other Bets	373	382	823	793
Hedging gains (losses)	(112)	106	148	(74)
Total revenues	$ 96,428	$ 119,796	$ 186,662	$ 229,692

Google Services

Google Advertising

Google Search & other

Google Search & other revenues increased $9.1 billion and $18.8 billion from the three and six months ended June 30, 2025 to the three and six months ended June 30, 2026. The overall growth was driven by interrelated factors including increases in search queries resulting from growth in user adoption and usage on mobile devices; growth in advertiser spending; and improvements we have made in ad formats and delivery.

YouTube ads

YouTube ads revenues increased $1.3 billion and $2.2 billion from the three and six months ended June 30, 2025 to the three and six months ended June 30, 2026. The growth was driven by our direct response advertising products followed by our brand advertising products, both of which benefited from increased spending by our advertisers.

Google Network

Google Network revenues decreased $51 million and $336 million from the three and six months ended June 30, 2025 to the three and six months ended June 30, 2026, primarily due to a decrease in AdSense revenues, partially offset by an increase in AdMob revenues.

Monetization Metrics

The following table presents changes in monetization metrics for Google Search & other revenues (paid clicks and cost-per-click) and Google Network revenues (impressions and cost-per-impression), expressed as a percentage, from the three and six months ended June 30, 2025 to the three and six months ended June 30, 2026:

	Three Months Ended June 30, 2026	Six Months Ended June 30, 2026
Google Search & other		
Paid clicks change	13 %	13 %
Cost-per-click change	3 %	4 %
Google Network		
Impressions change	(12)%	(10)%
Cost-per-impression change	13 %	10 %

Changes in paid clicks and impressions are driven by a number of interrelated factors, including changes in advertiser spending; ongoing product and policy changes; and, as it relates to paid clicks, fluctuations in search queries resulting from changes in user adoption and usage, primarily on mobile devices.

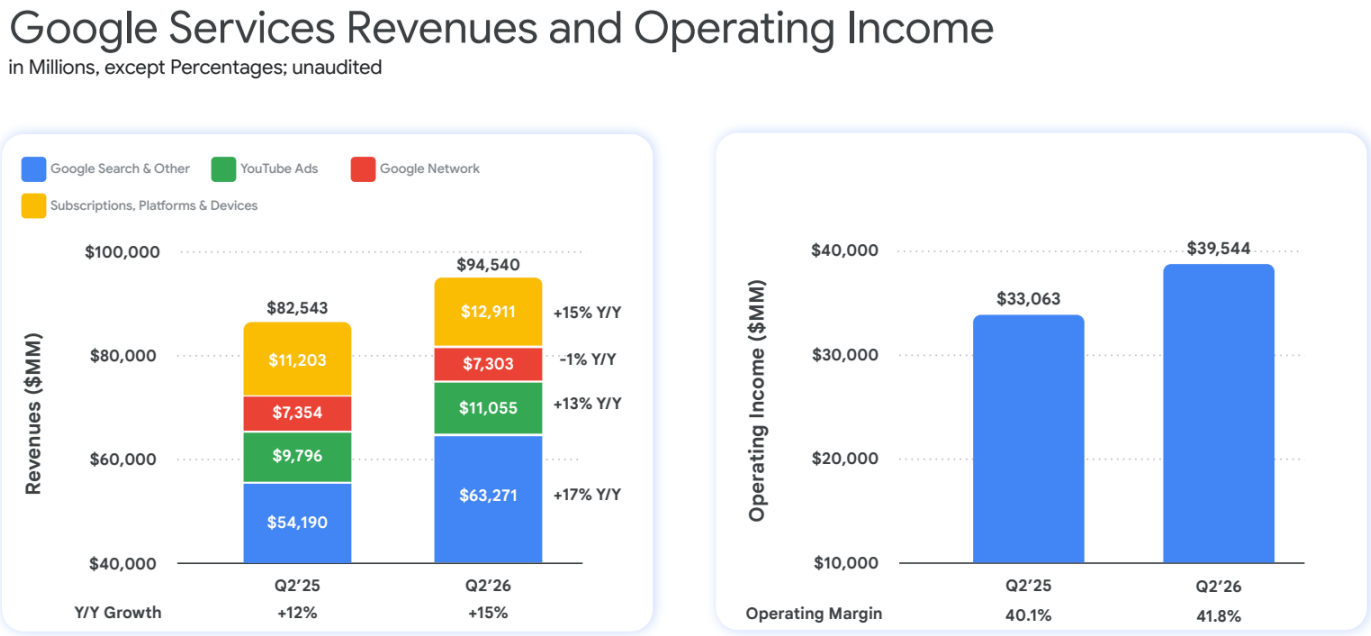
Q2 Search growth discussion: paid clicks rose 13% and cost per click rose 3%. Rounded volume and price measures do not exactly reconcile all mix and currency effects. Source: original issuer source, 2026-07-23, PDF page 48. Original image labels and units are preserved.

Search grew 17% in Q2, supported by major verticals including Retail and Finance. AI can expand the range of tasks users complete and improve advertiser conversion. The cash value depends on commercial intent, ad placement, realized pricing and serving cost. More queries alone do not establish more high-margin revenue.

Management cited about 15% more advertiser conversion or value for adopters of AI Max / PMax at similar returns on ad spending. That describes customer outcomes, rather than an automatic 15% uplift to Google revenue. AI Mode, Direct Offers and agent commerce can support capture, while undisclosed take rates and displaced existing ad spending prevent a separate full-wallet addition. Q2 management call.

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YouTube, Network and subscriptions



Q2 Services mix and operating profit. Search, YouTube, Network and subscriptions/platforms/devices are distinct revenue pools; forward product costs are analytical allocations. Source: original issuer source, 2026-07-22, PDF page 8. Original image labels and units are preserved.

YouTube advertising grew 13%, with direct response, brand, Living Room and World Cup support. The World Cup is a dated benefit. Subscriptions grew faster than ads, but undisclosed product cost detail limits a precise product-level profit claim. Network faces a narrower ad-tech fee and compliance risk than the whole Search business.

Services product	Q2 revenue	Analytical COGS	Analytical GP	COGS per USD 1,000 revenue
Search and other	63,271	16,450	46,821	260
YouTube advertising	11,055	7,186	3,869	650

Services product	Q2 revenue	Analytical COGS	Analytical GP	COGS per USD 1,000 revenue
Network advertising	7,303	5,477	1,826	750
Subscriptions platforms devices	12,911	7,101	5,810	550

The last column is a chosen calibration, not a source-disclosed margin. Fixed Q2 allocated-COGS weights distribute Services depreciation; revenue shares separately distribute modeled Services sales. Holding these two weights distinct keeps the cost calibration consistent.

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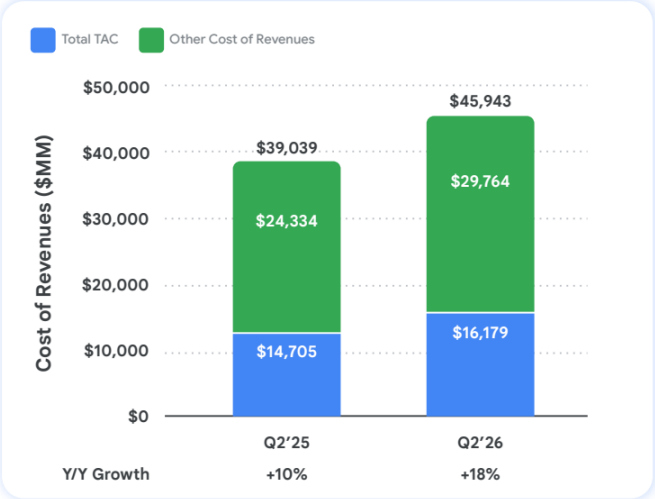
Services cost calibration and future scaling

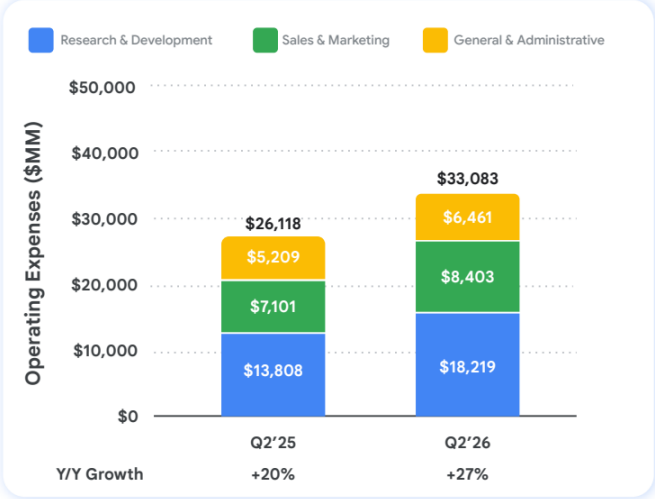
Calibrated Q2 recurring Services cost	USD million	Treatment
Analytical cost of revenue	36,215	Four product allocations sum here.
Owned PPE D&A in COGS	1,989	Removed before ordinary input-cost scaling; current-quarter D&A added once.
Normalized segment opex	17,281	Reported total segment costs less analytical COGS and dated principal.
Owned PPE D&A in opex	497	Retained as current-quarter cost.
Remaining non-D&A opex	16,784	Variable and fixed overhead includes ordinary compensation.

For each Services product, 80% of non-depreciation cost of revenue varies with ordinary product sales relative to Q2. The remaining 20% grows 5% per calendar year. Services non-depreciation operating expense is 70% variable with ordinary Services sales, while the remaining 30% grows 5% annually. Depreciation is added separately once. These are LOW allocations; they do not turn historical serving-efficiency claims into another automatic future margin gain.

Alphabet Cost of Revenues and Operating Expenses

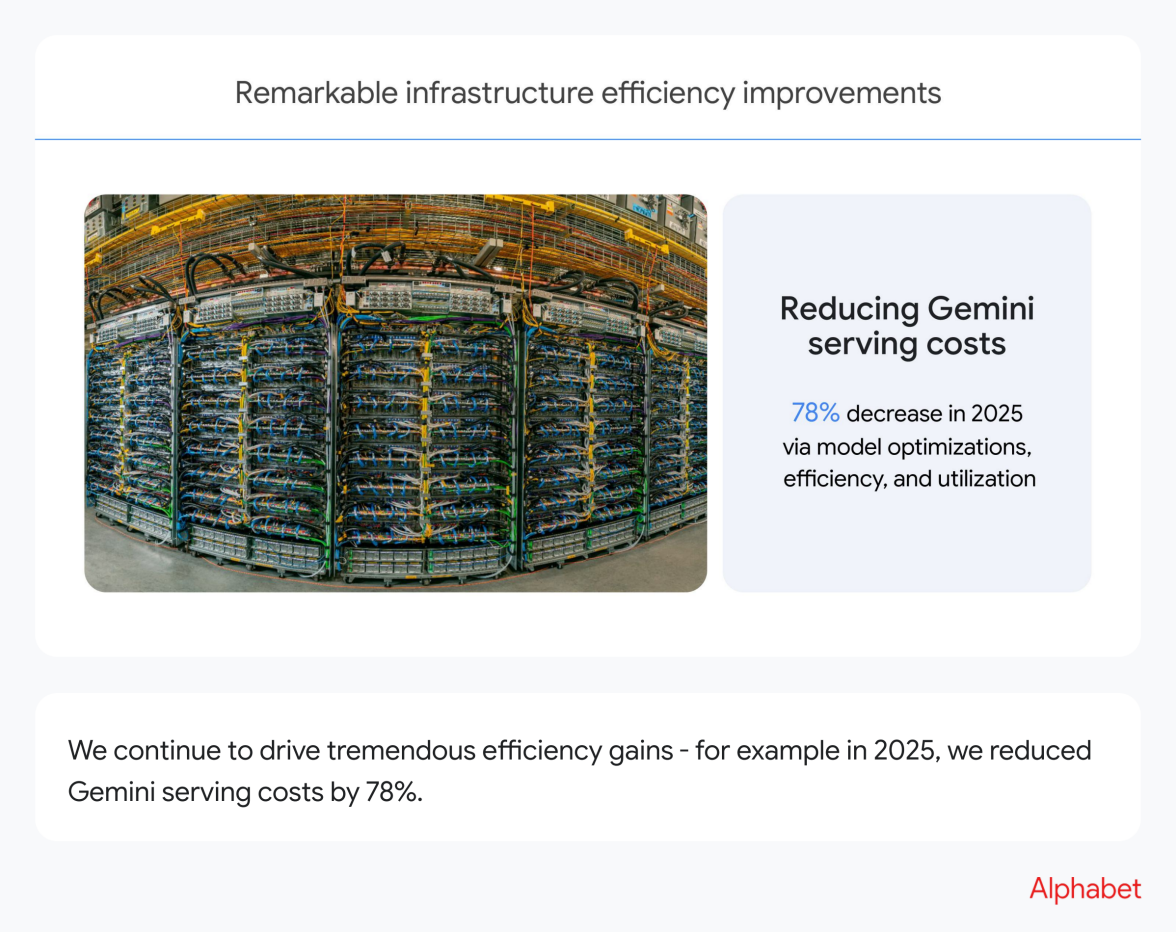
in Millions, except Percentages; unaudited





Q2 reported cost and expense growth. Actual compensation and infrastructure expense constrain forward profit; the analytical split does not remove them. Source: original issuer source, 2026-07-22, PDF page 7. Original image labels and units are preserved.

Efficiency supports volume, while total spending can still rise



June presentation: historical Gemini serving-cost efficiency during 2025. The source cohort and date are preserved. It is not a promise of another identical decline in every future cost pool. Source: original issuer source, 2026-06-02, PDF page 18. Original image labels and units are preserved.

The Q1 call described more than 30% lower core AI-response cost after the Gemini 3 upgrade. The June presentation showed a 78% reduction in Gemini serving cost during 2025. These measures refer to specific historical workloads. More usage, larger models, extra inference work and paid staff can raise total expense even when cost per response falls.

The model grants no second blanket reduction to all Services or Cloud costs from those historical figures. Argon and TorchTPU instead use small, separately costed cohorts. This keeps implementation, additional compute and support visible.

Two earnings calls: complete written records, audio unverified

Official management event	Read scope	Relevant forward evidence
29 April: Q1 2026	All 24 pages: prepared remarks, every analyst question and management answer, final closing.	AI response efficiency, hardware-sales timing, growing backlog, Wiz margin pressure and capacity.
22 July: Q2 2026	All 27 pages: prepared remarks, every question and answer, final closing.	Accelerating Cloud, delivered customer systems, third-party bridge cost, capital guidance and cash pressure.

Sundar Pichai, Philipp Schindler and Anat Ashkenazi participated in both official transcripts. The original audio was not independently listened to. A transcript unit error describing marketable equities is resolved by the filed USD 87,063 million table. The written records are complete as delivered; audio-to-text fidelity remains a gap. Q1 full transcript; Q2 full transcript.

Cloud operating income was $6.6 billion, tripling year over year, and operating margin increased from 17.8% in the first quarter of last year to 32.9%.

Google Cloud's backlog nearly doubled sequentially, reaching $462 billion at the end of the first quarter. The increase was driven by strong demand for our enterprise AI offerings and the inclusion of TPU hardware sales that Sundar referenced earlier. The majority of the backlog is related to technical GCP contracts, and we expect to recognize just over 50% of the backlog as revenue over the next 24 months.

In Other Bets, revenues were $411 million, and operating loss was $2.1 billion.

For the past few years, we have been working to prioritize our efforts and investments in the Other Bets. In Q1 of this year, Verily completed an external capital raise that resulted in its deconsolidation from Alphabet. GFiber announced plans to combine with Astound Broadband, which will result in its deconsolidation from Alphabet when the deal closes, which we expect to take place in Q4.

And we continue to allocate significant resources to businesses where we see meaningful opportunities to create value, such as Waymo.

Turning to our outlook, I would like to provide some commentary on factors that will impact our business performance in the second quarter and full year 2026.

First, in terms of revenues, we're pleased with the overall momentum of the business. At current spot rates, we would expect to see an FX tailwind of approximately one percentage point toward consolidated revenue in Q2, compared to three percentage points FX tailwinds in the first quarter.

In Google Cloud, as Sundar mentioned, we will begin to deliver TPU hardware to a select group of customers in their own data centers. We expect to begin recognizing a small percent of the revenues from these agreements later this year, with the vast majority of revenues to be realized in 2027.

It is important to keep in mind that revenues from TPU hardware sales will fluctuate from quarter to quarter, depending on when TPUs are shipped to customers.

And finally, we're excited to welcome the Wiz team to Google Cloud with the closing of the acquisition in March, and are very pleased with the performance to date.

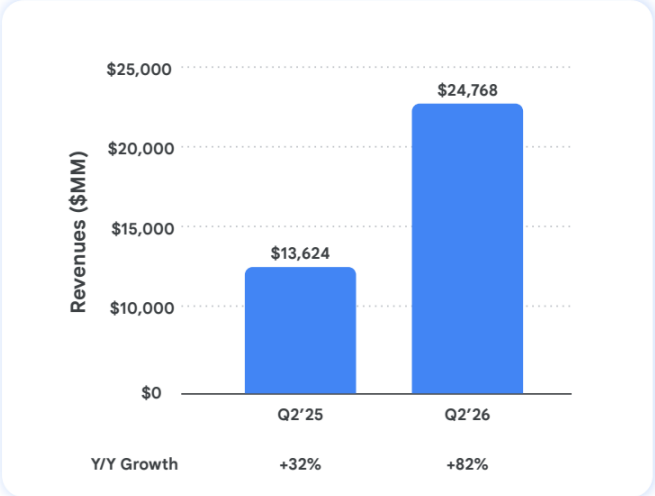
A couple of items to highlight related to the acquisition. First, Wiz will be reporting in the Google Cloud segment. And second, we expect a low single digit percentage point headwind to Cloud's operating margin for the remainder of 2026 related to the

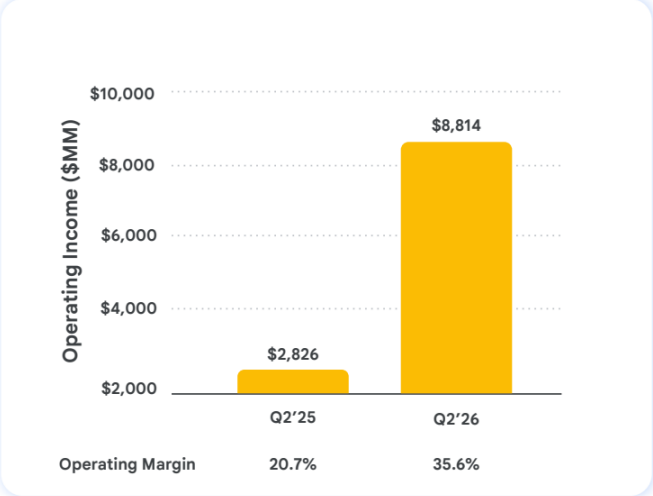
Q1 CFO prepared remarks: the first system-sales timing and Wiz acquisition margin discussion. Q2 results later include the acquired operations; the full original headwind is not charged a second time. Source: original issuer source, 2026-04-29, PDF page 12. Original image labels and units are preserved.

Cloud demand: visibility with different recognition rules

Google Cloud Revenues and Operating Income

in Millions, except Percentages; unaudited





Q2 Cloud revenue and operating profit. Reported segment earnings include direct and allocated infrastructure cost and the acquired Wiz business. Source: original issuer source, 2026-07-22, PDF page 9. Original image labels and units are preserved.

Q2 Cloud revenue was USD 24,768 million and operating profit USD 8,814 million. Management said growth accelerated even excluding external TPU system sales. Hardware revenue began in Q2, with a relatively small part of existing agreements expected during 2026 and the vast majority expected during 2027. Customer transfer and acceptance can make quarterly sales lumpy.

Hosted consumption is earned through use, subscriptions over their periods, and hardware/software generally at transfer of control with service obligations recognized as performed or over time. Recognized sales can precede cash collection. Inventory includes devices and TPU systems, so its full balance cannot be converted into TPU revenue.

Our customers generally purchase advertising inventory through Google Ads, Google Ad Manager, Google Display & Video 360, and Google Marketing Platform, among others.

We offer advertising by delivering both performance and brand advertising. We recognize revenues for performance advertising when a user engages with the advertisement. For brand advertising, we recognize revenues when the ad is displayed, or a user views the ad.

For ads placed on Google Network properties, we evaluate whether we are the principal (i.e., report revenues on a gross basis) or agent (i.e., report revenues on a net basis). Generally, we report advertising revenues for ads placed on Google Network properties on a gross basis; that is, the amounts billed to our customers are recorded as revenues, and amounts paid to Google Network partners are recorded as cost of revenues. Where we are the principal, we control the advertising inventory before it is transferred to our customers. Our control is evidenced by our sole ability to monetize the advertising inventory before it is transferred to our customers and is further supported by us being primarily responsible to our customers and having a level of discretion in establishing pricing.

Google Subscriptions, Platforms, and Devices

Google subscriptions, platforms, and devices revenues consist of revenues from:

- consumer subscriptions, which primarily include revenues from YouTube services, such as YouTube TV, YouTube Music and Premium, and NFL Sunday Ticket, as well as Google One, which offers access to our most capable Gemini models;
- platforms, which primarily include revenues from Google Play sales of apps and in-app purchases;
- devices, which primarily include sales of the Pixel family of devices; and
- other products and services.

Subscription revenues are recognized ratably over the period of the subscription, primarily monthly. We report revenues from Google Play sales of apps and in-app purchases on a net basis because our performance obligation is to facilitate a transaction between app developers and end users for which we earn a service fee.

Google Cloud

Google Cloud revenues consist of revenues from:

- Google Cloud Platform primarily generates consumption-based fees and subscriptions for infrastructure, platform, and other services. These services provide access to solutions such as artificial intelligence (AI) offerings including our enterprise AI infrastructure, Vertex AI platform, and Gemini Enterprise; cybersecurity offerings; and data and analytics solutions.
- Google Workspace includes subscriptions for cloud-based communication and collaboration tools for enterprises, such as Gmail, Docs, Calendar, Drive, and Meet, with integrated features like Gemini for Google Workspace.
- Product sales, primarily the sale of TPU systems.
- Other enterprise services.

Our cloud services are generally provided on either a consumption or subscription basis and may have contract terms longer than a year. Revenues related to cloud services provided on a consumption basis are recognized when the customer utilizes the services, based on the quantity of services consumed using the relative standalone selling price allocation. Revenues related to cloud services provided on a subscription basis are recognized over the contract term as the customer receives and consumes the benefits of the cloud services.

Our Google Cloud product sales generally consist of the sale of TPU systems comprising hardware, software, installation, support, and extended warranty services. Customer arrangements may also include options which are accounted for as rights of return. Product sales revenue from hardware, net of estimated allowances for returns, and software is recognized generally when control of the hardware is transferred to the customer. Installation, support, and extended warranty services revenue are recognized ratably over the service period or as services are performed.

Arrangements with Multiple Performance Obligations

At contract inception, we assess whether concurrent agreements with a customer should be accounted for as a single agreement. Our contracts with customers may include multiple performance obligations. For such arrangements, we allocate revenues to each performance obligation based on its relative standalone selling price.

Q2 revenue-recognition policy distinguishes consumption, subscriptions, hardware/software transfer and continuing service obligations. Source: original issuer source, 2026-07-23, PDF page 12. Original image labels and units are preserved.

Backlog supports the existing envelope

The following table presents revenues disaggregated by geography, based on the addresses of our customers (in millions):

	Three Months Ended June 30,				Six Months Ended June 30,			
	2025		2026		2025		2026	
United States	$ 46,063	48 %	$ 60,846	51 %	$ 90,027	48 %	$ 114,821	50 %
EMEA[1]	28,262	29	32,501	27	54,185	29	63,969	28
APAC[1]	16,480	17	19,317	16	31,334	17	37,605	16
Other Americas[1]	5,735	6	7,026	6	10,968	6	13,371	6
Hedging gains (losses)	(112)	0	106	0	148	0	(74)	0
Total revenues	$ 96,428	100 %	$ 119,796	100 %	$ 186,662	100 %	$ 229,692	100 %

[1] Regions represent Europe, the Middle East, and Africa (EMEA); Asia-Pacific (APAC); and Canada and Latin America ("Other Americas").

Revenue Backlog

As of June 30, 2026, we had $519.5 billion of remaining performance obligations (“revenue backlog”), of which $513.9 billion related to Google Cloud. Revenue backlog represents commitments in customer contracts that have not yet been recognized as revenue. We expect to recognize just over 50% of the revenue backlog as revenues over the next 24 months with the remainder to be recognized thereafter. The estimated revenue backlog and timing of revenue recognition for these commitments is largely driven by contract duration, our ability to deliver in accordance with relevant contract terms, and when our customers utilize services. Revenue backlog includes related deferred revenue currently recorded as well as amounts that will be invoiced in future periods and excludes cancellable contracts and payments we make to our customers not expected to be in exchange for distinct goods and services. In the first quarter of 2026, we elected to change our reporting of revenue backlog to also include contracts with an original expected term of one year or less.

Deferred Revenues

We record deferred revenues when cash payments are received or due in advance of our performance, including amounts which are refundable. Deferred revenues primarily relate to Google Cloud and Google subscriptions, platforms, and devices. Total deferred revenue as of December 31, 2025 was $8.6 billion, of which $4.9 billion was recognized as revenues for the six months ended June 30, 2026. Total deferred revenue as of June 30, 2026 was $10.1 billion.

Note 3. Financial Instruments

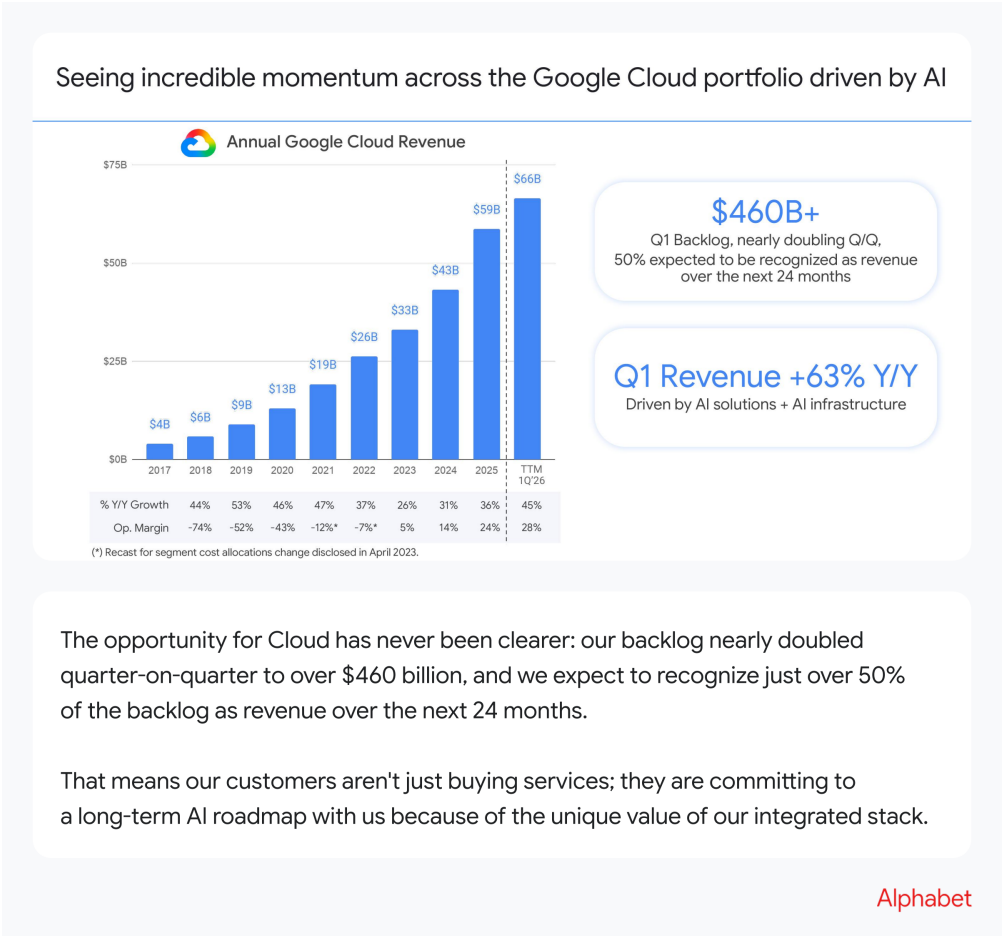
Fair Value Measurements

Investments Measured at Fair Value on a Recurring Basis

Cash equivalents and marketable equity securities are measured at fair value and classified within Level 1 and Level 2 in the fair value hierarchy, because we use quoted prices for identical assets in active markets or inputs that are based upon quoted prices for similar instruments in active markets.

Debt securities are measured at fair value and classified within Level 2 in the fair value hierarchy, because we use quoted market prices to the extent available or alternative pricing sources and models utilizing market observable inputs to determine fair value. The following tables summarize our cash, cash equivalents, and marketable securities measured at fair value on a recurring basis (in millions):

Q2 backlog definition and recognition schedule. Backlog includes hardware and deferred revenue. Contracts of one year or less entered the definition from Q1 2026. Source: original issuer source, 2026-07-23, PDF page 15. Original image labels and units are preserved.



June presentation backlog visual. Its date and prior scope are retained; the July filing controls the current USD 513,900 million Cloud balance. Source: original issuer source, 2026-06-02, PDF page 37. Original image labels and units are preserved.

Cloud backlog was USD 513,900 million, with just over half expected over the following 24 months. Backlog includes customer-owned systems, hosted services and deferred revenue. Cancellable contracts and some customer payments are excluded. The changed short-contract definition means a sequential increase is not uniformly new multiyear organic bookings.

The model partitions this demand within the future Cloud sales envelope. It adds no second backlog revenue pool and no second deferred-revenue amount. The contracts support visibility, while acceptance, actual use, future renewals, pricing and funded capacity determine conversion. Q2 filing, page 15; Q2 call, page 19.

Customer-owned TPU systems: manufacturing and support are paid

think Vertex AI, Gemini Enterprise, the momentum we see. So we are using it -- or agentic workloads, et cetera. So, we are using it for those purposes.

To the extent people want it as infrastructure, we are balancing it by increasingly looking at opportunities to put TPUs in their data centers, or in other data centers, like the project we are doing with Blackstone, et cetera. So we are using that as an ability to balance and make sure we are allocating as much of the available compute for frontier model development, as well as serving both our consumer business and our Enterprise business in terms of first-party models.

Anat Ashkenazi, SVP and CFO, Alphabet and Google: And in terms of revenue recognition and how we look at the TPU system sales, so the way to think about it is the following. When we signed the agreements that I've mentioned in the prepared remarks, they would be then reflected in the cloud backlog.

Now, the vast majority of the $514 billion of cloud backlog is the GCP agreements. But the TPU system sales are reflected in that backlog.

We start building inventory to be able to sell those systems, so you see that impact on the cash from operations, because we built ahead, obviously, as we're building that business and ramping up.

And then once we start delivering the sales, generally that's when we start recognizing revenue. This quarter was a small amount of that total agreement. We'll continue to ramp up throughout 2026, but then you'll see the vast majority of the revenue from that agreement come through in 2027.

Operator: Your next question comes from Ross Sandler with Barclays. Your line is now open.

Ross Sandler (Barclays): Just back to the AI model kind of war that's going on, Sundar. Just want to ask about the speed of model releases and how you can potentially speed up the cadence by which Gemini is releasing models.

So we all saw the third-party compute deal with SpaceX. What else are we doing to kind of speed up the pace of model releases compared to some of the other folks out there?

Q2 management answers on hardware deliveries, inventory, recognition and backlog. Product-specific revenue, unit price and cost are not disclosed. Source: original issuer source, 2026-07-22, PDF page 19. Original image labels and units are preserved.

System-sales item	Chosen model assumption	Boundary
Q2 hardware calibration	USD 1,000 million within reported Cloud revenue.	LOW undisclosed split; source Cloud revenue and OP remain exact.
Planned annual hardware sales	USD 40,000 / 60,000 / 75,000 / 90,000 million in 2027 / 2028 / 2029 / 2030.	Inside the existing Cloud envelope; no separate bank-forecast addition.
2027 quarterly delivery mix	10% / 20% / 30% / 40%.	LOW lumpiness proxy; no disclosed shipment calendar.
Manufacturing / warranty cost	USD 750 per USD 1,000 sales.	Chips, HBM, packaging, boards, assembly and warranty proxy.
Installation / software / selling / support	USD 80 per USD 1,000 sales.	Paid operating support budget, retained on original schedule in delay tests.
Owned server depreciation	Zero extra Google-owned server D&A on transferred system inventory.	Hosted Google-owned infrastructure has its own paid D&A.

These assumptions imply USD 170 operating profit per USD 1,000 accepted hardware sales before group shared development costs. That is a conditional analytical margin, not a disclosed contract margin. Hardware gross margin and actual-calibration sensitivities test the uncertainty.

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Hosted Cloud costs, software and acquisition accounting

Q2 analytical calibration	USD million	Meaning
Total Cloud COGS	9,499	Residual of exact group COGS after Services and Other Bets allocations.
Hardware COGS	750	Chosen 75% cost on the LOW USD 1,000 million split.
Hosted ordinary revenue	23,768	Reported total less the chosen hardware split.
Hosted COGS	8,749	Includes allocated owned infrastructure D&A.
Hosted non-D&A COGS	5,624	80% variable; 20% fixed growing 5% annually.
Hosted non-D&A opex before fixed Wiz charge	5,345	70% variable; 30% fixed growing 8% annually.
Wiz fixed quarterly intangible amortization	248	Added once; goodwill is not amortized.

Cloud receives 55% of modeled group PPE depreciation, with 80% in cost of revenue and 20% in operating expense. Services receives 35%, shared activities 10%. These are LOW segment allocations calibrated to actual group expense. Host variable costs scale ordinary hosted revenue; incremental Argon and Torch use separate marginal-cost rules.

On March 11, 2026, we completed our acquisition of Wiz for $29.5 billion, after purchase price adjustments and excluding post combination compensation arrangements. This acquisition represents an investment by Google Cloud to accelerate our capabilities in multicloud and AI-driven security. Following the close of the acquisition, the financial results are included in our consolidated financial statements within the Google Cloud segment.

The preliminary purchase price was allocated as follows (in millions):

Intangible assets	$	8,300
Goodwill[1]		22,705
Net liabilities assumed[2]		(1,538)
Total purchase price	$	29,467

(1) Goodwill has been recorded in the Google Cloud segment and primarily attributable to synergies expected to arise after the acquisition. Goodwill is not deductible for tax purposes.
(2) Includes $660 million of acquired cash.

Intangible assets acquired as of the acquisition date were as follows:

	Amount (in millions)	Weighted-Average Useful Life (in years)
Patents and developed technology	$ 3,600	7
Customer relationships	4,500	10
Trade names and other	200	7
Total intangible assets	$ 8,300	

Intersect Acquisition

On March 10, 2026, we completed our acquisition of Intersect, a developer of renewable energy, for $5.9 billion, after purchase price adjustments. This acquisition enables acceleration of data center capacity and energy development. Intersect is a VIE and we have determined we are the primary beneficiary. Following the close of the acquisition, the financial results are included in our consolidated financial statements and are allocated to our segments.

The final purchase price was allocated as follows (in millions):

Goodwill[1]	$	2,174
Property and equipment		5,129
Debt		(1,214)
Net liabilities assumed[2]		(221)
Total purchase price	$	5,868

(1) Goodwill has been allocated to Google Services and Google Cloud segments and primarily attributable to synergies expected to arise after the acquisition. Goodwill is not deductible for tax purposes.
(2) Includes $410 million of acquired cash.

Pending Divestiture

In March 2026, we entered into a definitive agreement to contribute our ownership interest in GFiber, a wholly owned subsidiary, into a newly formed entity. Upon closing, we expect to receive $1.5 billion in cash, a $2.0 billion note receivable, and a 49.99% equity interest. The remaining interest is expected to be accounted for as an unconsolidated VIE under the equity method of accounting, as we will no longer be the primary beneficiary. The transaction is expected to close in late 2026.

GFiber meets the criteria for held for sale classification. No impairment loss was recognized upon initial classification as held for sale and we ceased depreciation of the related long-lived assets. Held for sale assets primarily consist of property and equipment of $7.1 billion, which is included in other current assets in our Consolidated Balance Sheet as of June 30, 2026. The operating results of GFiber remain included within the Other Bets segment through the close of the transaction.

Note 9. Goodwill and Intangible Assets

Goodwill

Q2 acquisition note: Wiz and Intersect accounting. Wiz intangible lives produce about USD 993 million annual amortization; its goodwill is not straight-line amortized. Intersect capacity is consolidated and allocated rather than treated as another revenue pool. Source: original issuer source, 2026-07-23, PDF page 30. Original image labels and units are preserved.

Two coherent Cloud conversion outcomes

Outcome	%	Recognized sales	Paid costs
Planned delivery and paid use	70%	Current foundation plus the full unconverted growth endpoint.	All committed capex, owned D&A, fixed overhead, bridge rent and corresponding variable cost.
Half-growth conversion	30%	Current foundation plus half of unconverted growth; hardware acceptance halved.	The same paid capital and fixed costs remain; variable costs follow recognized activity.

The starting Cloud foundation is USD 24,768 million per quarter, growing 5% per calendar year. The probabilities apply to unconverted growth, rather than cutting the existing foundation by 30%. Hosted revenue is the state Cloud total less its customer-owned hardware revenue. Both outcomes use explicit costs. The numerical probabilities are analytical judgments, not management forecasts.

Quarter	Planned ordinary Cloud	Slower ordinary Cloud	Expected ordinary hosted sales	Expected system sales
Q3 2026	29,100	26,934	27,175	1,275
Q4 2026	35,500	30,134	31,765	2,125
Q1 2027	37,500	31,753	32,376	3,400
Q2 2027	42,500	34,253	33,226	6,800
Q3 2027	47,500	36,753	34,076	10,200
Q4 2027	55,500	40,753	37,476	13,600
Q1 2028	57,500	42,403	40,221	12,750
Q2 2028	64,500	45,903	46,171	12,750
Q3 2028	71,500	49,403	52,121	12,750
Q4 2028	81,500	54,403	60,621	12,750
Q1 2029	83,500	56,086	59,338	15,938
Q2 2029	91,500	60,086	66,138	15,938
Q3 2029	99,500	64,086	72,938	15,938
Q4 2029	111,500	70,086	83,138	15,938
Q1 2030	112,500	71,303	81,016	19,125
Q2 2030	121,500	75,803	88,666	19,125
Q3 2030	130,500	80,303	96,316	19,125
Q4 2030	144,500	87,303	108,216	19,125

Temporary rented capacity protects delivery at a cost

In Alphabet Level Activities, the operating loss was $5.8 billion, driven by shared AI R&D expenses.

Turning to our outlook in business performance expectations in the second half of 2026.

First, in terms of revenues, at the current spot rates, we would expect a slight FX headwind to our consolidated revenue in Q3, compared to a one percentage point FX tailwind in Q2. This impact will be seen primarily in Search and YouTube Ads.

In Google Services, as Philipp mentioned, we continue to benefit from innovation in Search by improving the user and advertiser experience with AI. At the same time, in Q3, we will begin lapping an acceleration in Search performance that began in the third quarter last year.

In Google Cloud, we're seeing significant demand for products and services, which we expect to drive strong growth. As I mentioned earlier, we started delivering TPU systems to customer data centers in the second quarter. We continue to expect to recognize a relatively small portion of the revenues from our existing TPU system sales agreements this year, ramping as we exit 2026. We anticipate the vast majority of the revenues from these agreements will be realized in 2027.

And given the supply constraint environment, we plan to expand the use of third-party capacity in Q3 as a bridging strategy while we build out more internal capacity. This strategy allows us to keep growing our customer base and capture greater overall value. However, it will create modest margin pressure in the near-term as we utilize this capacity.

Moving to investments, we are updating our full year 2026 CapEx guidance range to $195-205 billion, up from our previous estimate of $180-190 billion. The increase in the range is primarily due to an acceleration in the delivery of capacity to meet growing demand.

As we previously shared, we continue to expect our CapEx to increase significantly in 2027, and we'll provide more details at a later date.

In terms of expenses, the significant increase in our investments and technical infrastructure will continue to put pressure on the P&L in the form of higher depreciation expense and related data center operations costs, such as energy. We also expect to

Q2 CFO prepared remarks: capital guidance, hardware timing and third-party capacity margin pressure. A specific supplier price or contract length is not given. Source: original issuer source, 2026-07-22, PDF page 13. Original image labels and units are preserved.

Sundar Pichai, CEO, Alphabet and Google: Mark, I can comment on it. Look, again, on allocation, the baseline with which we start is what it takes to continue AGI development at the frontier. Obviously, the priors on that are just based on where the model frontier moves. And so we start with that as a baseline.

And beyond that, we want to obviously -- we are prioritizing our core product areas like Search, YouTube, et cetera, as well as Cloud. And within Cloud, we are prioritizing the compute to make sure we can serve our models in the context of Vertex and Gemini Enterprise and our core solutions, be it data analytics and cybersecurity, et cetera.

So our core -- serving for our core products across consumers and Enterprise is where the computer is primarily going, and that's how we think about it.

I think on the bridge deal, the main thing I would say is, look, there are -- on the margin, there are very, very large customers of ours on Cloud who -- we are trying to support them through this extraordinary moment. And the incremental opportunities they are bringing to us, while a short-term cost over a few months may be very high, in the lifetime of the deal, as we bring more capacity on, is highly ROI-positive.

So those are factors we are taking into account. So are you willing to take upfront a six-month deal to be able to serve the customer in what is a multiyear opportunity where the margins and the returns are very, very attractive over that multiyear horizon?

So hopefully that gives some color on how we've thought about those opportunities.

Operator: Your next question comes from Ron Josey with Citi. Your line is now open.

Ron Josey (Citl): Thanks for taking the question. Maybe I'll switch topics somewhat and, Philipp, ask you a little bit more about monetization from a Search and YouTube perspective. Just given the greater signal we have with AI searches, and then you talked about YouTube's strength, talk to us a little bit more on how advertisers are leveraging the greater personalization and targeting that Google has to drive this ROAS.

A question we often get is, Google at that size and scale, we're still growing 17%. Any reasons what's driving that all-time high on Searches? Thank you.

Philipp Schindler, SVP and CBO, Google: Yes. Thank you so much for the question.

Q2 CEO answer: high temporary costs can support attractive multiyear economics. The six-month example does not establish the legal term of the separate USD 5,800 million commitment. Source: original issuer source, 2026-07-22, PDF page 23. Original image labels and units are preserved.

The filing discloses a USD 5,800 million noncancelable short-term lease signed in June and starting Q3. Its precise supplier, length and quarterly expense schedule are unavailable. The model allocates USD 1,450 million to each quarter from Q3 2026 through Q2 2027, with the full cost paid in both demand outcomes.

The rental expense is inside hosted cost of revenue and already reduces cash generation through OP. There is no second cash deduction and no own-asset depreciation on the rented equipment. The existing revenue envelope already requires conversion, so renting capacity alone does not create more customer revenue. Six-month timing and a further year of renewal are separate bounded tests.

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2026	2025	2026
Cash payments for lease liabilities:				
Operating cash flows used for operating leases	$ 783	$ 899	$ 1,661	$ 1,817
Operating cash flows used for finance leases	$ 16	$ 18	$ 31	$ 35
Financing cash flows used for finance leases[1]	$ 110	$ 318	$ 302	$ 840
Assets obtained in exchange for lease liabilities:				
Operating leases	$ 831	$ 2,664	$ 1,528	$ 3,739
Finance leases	$ 83	$ 691	$ 606	$ 902

(1) Additionally, during the three and six months ended June 30, 2026, we made $201 million and $835 million of lease prepayments for leases not yet commenced, respectively, which are expected to be accounted for as finance leases.

Future lease payments as of June 30, 2026 were as follows (in millions):

	Operating Leases	Finance Leases
Remainder of 2026	$ 1,836	$ 206
2027	3,498	387
2028	2,979	377
2029	2,576	356
2030	2,046	285
Thereafter	8,398	1,309
Total undiscounted lease payments	21,333	2,920
Less: imputed interest	(3,296)	(330)
Total lease liability balance	$ 18,037	$ 2,590

As of June 30, 2026, we have entered into leases, primarily related to data centers, that have not yet commenced with future lease payments of $85.2 billion that are not yet recorded. These leases will commence between 2026 and 2031 with non-cancelable lease terms between one and 26 years.

Additionally, in June 2026, we entered into a short-term lease agreement with a non-cancelable commitment of approximately $5.8 billion, which will commence in the third quarter of 2026.

Note 5. Variable Interest Entities

Consolidated VIEs

We consolidate VIEs in which we hold a variable interest and are the primary beneficiary. The results of operations and financial position of these VIEs are included in our consolidated financial statements.

Unconsolidated VIEs

We hold various forms of interests in VIEs, including certain of our investments in private companies and renewable energy entities, certain leases and credit backstops with data center entities, and certain backstops with energy infrastructure entities. Because we have determined that we do not direct the activities that most significantly impact the economic performance of these entities, we are not the primary beneficiary. Therefore, these VIEs are not consolidated within our financial statements.

Our investments in private companies and renewable energy VIEs are primarily accounted for as non-marketable securities under the measurement alternative or the equity method. The carrying value of these investments are included within non-marketable securities on our Consolidated Balance Sheets. See Note 3 for further details on investments. The maximum exposure to these VIEs is generally limited to the current carrying value plus future funding commitments. As of December 31, 2025 and June 30, 2026, future funding commitments were $1.1 billion and $21.9 billion, respectively. As of June 30, 2026, this amount includes $20.0 billion of future capital funding commitments with a private company contingent upon the achievement of specified operational and

Q2 lease note: the short-term commitment is distinct from other lease obligations. Mixed, uncommenced future leases have undisclosed timing and cannot all be treated as current-period rent. Source: original issuer source, 2026-07-23, PDF page 25. Original image labels and units are preserved.

Capital is spent before every asset earns revenue

Property and Equipment, Net

Property and equipment, net, consisted of the following (in millions):

	As of December 31, 2025	As of June 30, 2026
Technical infrastructure[1]	$ 203,679	$ 247,177
Office space	48,348	50,635
Corporate and other assets	14,463	6,498
Property and equipment, in service	266,490	304,310
Less: accumulated depreciation	(98,485)	(105,912)
Add: assets not yet in service	78,592	122,814
Property and equipment, net	$ 246,597	$ 321,212

(1) As of December 31, 2025 and June 30, 2026, approximately 60% of technical infrastructure assets were comprised of servers and network equipment. The remaining balance was comprised of data center land and buildings and related assets.

Accrued Expenses and Other Current Liabilities

Accrued expenses and other current liabilities consisted of the following (in millions):

	As of December 31, 2025	As of June 30, 2026
Accrued fines and settlements[1]	$ 15,594	$ 17,356
Accrued purchases of property and equipment	8,877	16,196
Accrued customer liabilities	5,029	5,238
Payables to brokers for unsettled investment trades	950	822
Income taxes payable, net	523	5,233
Other accrued expenses and current liabilities	24,584	28,169
Accrued expenses and other current liabilities	$ 55,557	$ 73,014

(1) See Legal Matters in Note 10 for further details.

Noncontrolling Interests

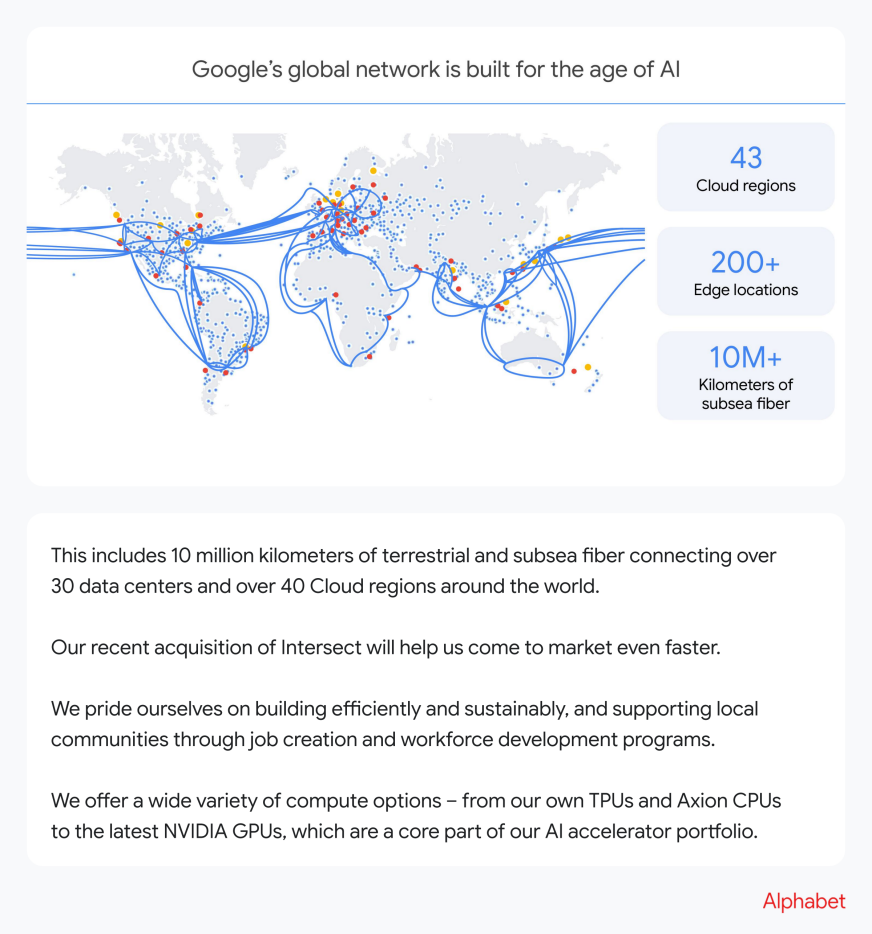
Total noncontrolling interests (NCI) in our consolidated subsidiaries were $3.4 billion and $7.1 billion as of December 31, 2025 and June 30, 2026, respectively, of which $841 million and $824 million were redeemable noncontrolling interests (RNCI) as of December 31, 2025 and June 30, 2026, respectively. NCI and RNCI are included within common stock and additional paid-in capital (APIC). Net loss attributable to noncontrolling interests was not material for any period presented and is included within the "other" component of OI&E.

Accumulated Other Comprehensive Income (Loss)

Components of AOCI, net of income tax, were as follows (in millions):

	Foreign Currency Translation Adjustments	Unrealized Gains (Losses) on Available-for-Sale Investments	Unrealized Gains (Losses) on Cash Flow Hedges	Total
Balance as of December 31, 2024	$ (5,080)	$ (299)	$ 579	$ (4,800)
Other comprehensive income (loss) before reclassifications	3,273	836	(1,064)	3,045
Amounts excluded from the assessment of hedge effectiveness recorded in AOCI	0	0	(169)	(169)
Amounts reclassified from AOCI	0	(113)	(90)	(203)
Other comprehensive income (loss)	3,273	723	(1,323)	2,673
Balance as of June 30, 2025	$ (1,807)	$ 424	$ (744)	$ (2,127)

Q2 technical infrastructure and assets not yet in service. June construction in progress was USD 122,814 million, already paid or accrued, and does not create another cash capex charge in the forecast. Source: original issuer source, 2026-07-23, PDF page 28. Original image labels and units are preserved.



June investor presentation: infrastructure network and compute choices. The map supports the delivery context, rather than proving a future quarter of energized paid capacity. Source: original issuer source, 2026-06-02, PDF page 16. Original image labels and units are preserved.

Management guides 2026 cash capital spending of USD 195-205 billion, with a significant increase in 2027 but no exact budget. The model uses USD 200 billion for 2026, then USD 260 / 310 / 350 / 390 billion for 2027-2030. The later numbers are LOW analyst assumptions, not issuer guidance.

The balance-sheet statement that about 60% of in-service technical assets are servers or networks has a different denominator from cash spending or construction in progress. The chosen June CIP mix is 20% servers/network, 70% buildings and 10% land. Future cash spending uses 60% / 30% / 10%. The capital mixes and timing remain uncertain.

Depreciation follows readiness and useful life

Variable Interest Entities

We determine at the inception of each arrangement whether an entity in which we have made an investment or in which we have other variable interests is considered a variable interest entity (VIE). We consolidate VIEs when we are the primary beneficiary. We are the primary beneficiary of a VIE when we have the power to direct activities that most significantly affect the economic performance of the VIE and have the obligation to absorb the majority of their losses or benefits. If we are not the primary beneficiary in a VIE, we account for the investment or other variable interests in a VIE in accordance with applicable GAAP.

Periodically, we assess whether any changes in our interest or relationship with the entity affect our determination of whether the entity is a VIE and, if so, whether we are the primary beneficiary.

Property and Equipment

Property and equipment is comprised of technical infrastructure, office space, corporate and other assets currently in service, and assets not yet in service. Technical infrastructure includes data center land, buildings and leasehold improvements, and servers and network equipment. Office space includes office land, buildings, and leasehold improvements. Assets not yet in service are those that are not ready for their intended use, including data center buildings and servers in the process of construction or assembly.

Property and equipment are stated at cost less accumulated depreciation. Depreciation commences once assets are ready for their intended use and is recorded using the straight-line method over the estimated useful lives of the assets, which we regularly evaluate for factors such as technological obsolescence and our planned use and utilization. We depreciate data center and office buildings over periods of seven to 40 years. We depreciate servers and network equipment generally over a period of six years. We depreciate corporate and other assets over periods of two to 25 years. We depreciate leasehold improvements over the shorter of the remaining lease term or the estimated useful lives of the assets. Land is not depreciated.

Goodwill

We allocate goodwill to reporting units based on the expected benefit from the business combination. We evaluate our reporting units periodically, as well as when changes in our operating segments occur. For changes in reporting units, we reassign goodwill using a relative fair value allocation approach. We test our goodwill for impairment at least annually, or more frequently if events or changes in circumstances indicate that the asset may be impaired. Goodwill impairments were not material for the periods presented.

Leases

We determine if an arrangement is a lease at inception. Our lease agreements generally contain lease and non-lease components. Payments under our lease arrangements are primarily fixed. Non-lease components primarily include payments for maintenance and utilities. We combine fixed payments for non-lease components with lease payments and account for them together as a single lease component which increases the amount of our lease assets and liabilities.

Certain lease agreements contain variable payments, which are expensed as incurred and not included in the lease assets and liabilities. These amounts primarily include payments affected by the Consumer Price Index, and payments for maintenance and utilities.

Lease assets and liabilities are recognized at the present value of the future lease payments at the lease commencement date. The interest rate used to determine the present value of the future lease payments is our incremental borrowing rate, because the interest rate implicit in our leases is not readily determinable. Our incremental borrowing rate is estimated to approximate the interest rate on a collateralized basis with similar terms and payments, and in economic environments where the leased asset is located. Our lease terms and payments include periods under options to purchase, extend, or terminate the lease when it is reasonably certain that we will exercise that option. We generally use the base, non-cancelable, lease term when determining the lease assets and liabilities. Lease assets also include any prepaid lease payments and lease incentives.

The current portion of our operating lease liabilities is included in accrued expenses and other current liabilities, and the long-term portion is included in operating lease liabilities. Finance lease assets are included in property and equipment, net. Finance lease liabilities are included in accrued expenses and other current liabilities or other long-term liabilities.

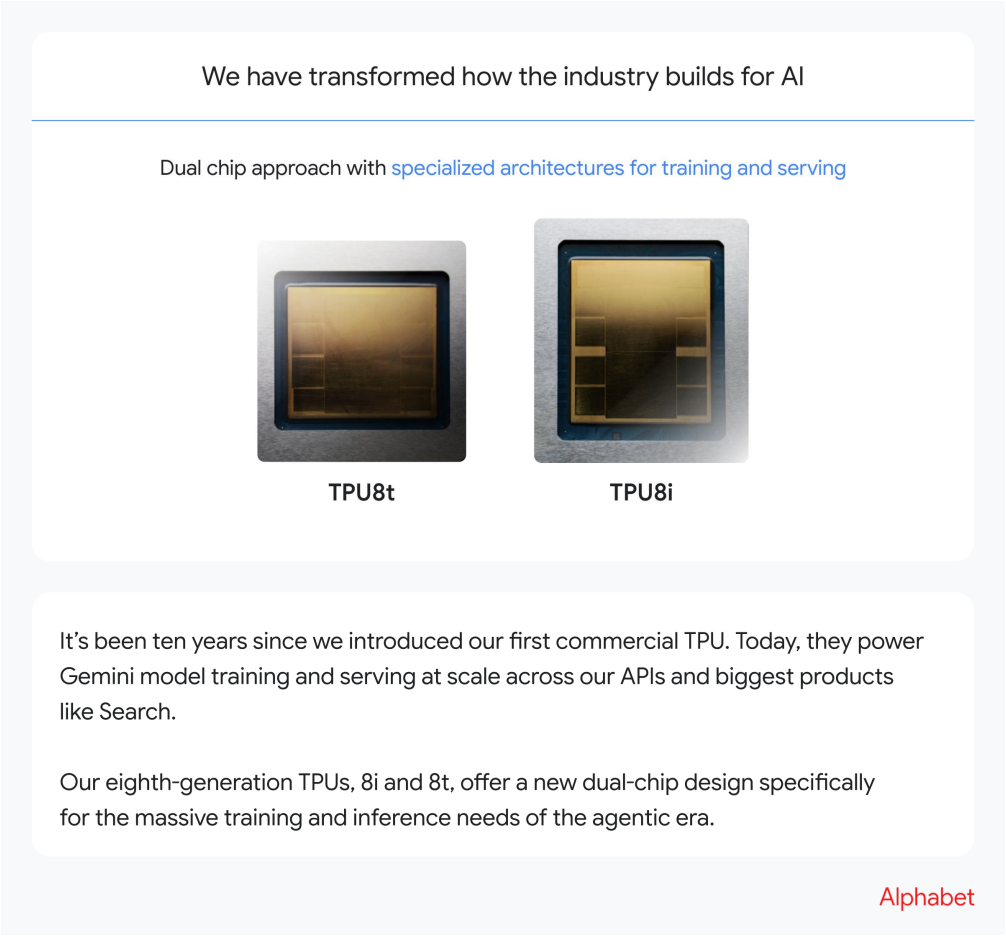
Operating lease expense (excluding variable lease costs) is recognized on a straight-line basis over the lease term. Finance lease expense is recognized on a straight-line basis over the shorter of the lease term or the useful life of the asset, and interest expense is recognized based on the incremental borrowing rate.

Annual report accounting policy: generally six-year servers/network, buildings within a 7-40 year range, depreciation when ready for intended use, and no land depreciation. Source: original issuer source, 2026-02-05, PDF page 59. Original image labels and units are preserved.

Asset or cost cohort	Ready-for-use / charge rule	Current choice
Existing in-service PPE	Actual Q2 USD 7,104 million quarterly D&A; smooth retirements thereafter.	5% annual retirement proxy, applied fractionally by quarter.
June CIP servers/network	Four equal slices begin over Q3 2026-Q2 2027.	Six-year useful life; first ready quarter half D&A.
June CIP buildings	Six equal slices begin Q1 2027-Q2 2028.	30-year LOW life within source range; first quarter half.
New cash-spend servers/network	Half ready immediately, half one quarter after spending.	Six years; full capital spent on original cash schedule.
New cash-spend buildings	Half ready six quarters later, half seven quarters later.	30 years; paid cash precedes D&A.
Land / not-ready assets	No depreciation until relevant readiness; land never depreciated.	Land excluded from D&A; beyond-horizon ready slices remain visible.

The model carries all paid capital through both Cloud demand outcomes. Weaker customer use does not eliminate depreciation on commissioned owned assets. June CIP receives no second cash debit. The 82 server/building cohort rows later in this report show each capital slice, readiness, life and selected depreciation observations.

Custom silicon can support capture, with portability trade-offs



June TPU architecture presentation. Training and inference are distinct technical workloads; capability does not establish a specific external customer purchase. Source: original issuer source, 2026-06-02, PDF page 17. Original image labels and units are preserved.

TPUs, Gemini, infrastructure and software can help Google optimize useful work per dollar and make Cloud easier to adopt. TorchTPU, released as open source on 20 October, supports native PyTorch and familiar tooling. Named technical participation supports software compatibility, without disclosing a Meta unit order or another whole Cloud revenue pool. Official TorchTPU release.

Argon is a specialized long-running-task model. The 13 October source lists introductory USD 2 input / USD 10 output per million tokens until November ends, followed by USD 4 / USD 20 from December. Cached input carries a 95% discount. Realized enterprise price, paid token mix, task length, cannibalization and compute cost constrain the revenue effect. Official Argon launch.

Finite technology cohorts and paid marginal costs

Event	Probability / eligible cohort	Net sales and cost rule	Timing / overlap
Argon paid realization	50% probability; 1% of ordinary hosted sales.	25% conditional realized premium; compute costs 10% of eligible sales; support 5% of net added sales.	50% reference overlap; one-third Q4 2026, full 2027-2028, expires thereafter.
TorchTPU adoption	60% probability; 8% of ordinary hosted sales.	5% conditional usage acceleration; ordinary variable serving/opex plus 15% extra support.	75% reference overlap; same finite duration.
Torch engineering / support	60% paid outcome weight.	USD 50 million conditional engineering in Q4 2026 and Q1 2027; USD 20 million annual conditional support while active.	Engineering is paid without a second 75% overlap discount.

In the selected four-quarter window, Argon contributes about USD 110 million revenue and USD 16 million OP. Torch contributes about USD 106 million revenue and USD 41 million OP. Their small residuals reflect overlap and real costs; broader adoption is already present in the Cloud endpoint.

The model expiry from 2029 means the reference path absorbs these particular residuals. A zero later diagnostic effect therefore means expiry, rather than proof that a technology or its earlier costs never mattered.

GOOGL / ALPHABET / 21 OCTOBER 2026

Regulation: a bounded fee and compliance exposure

The September DOJ announcement describes behavioral ad-tech relief, interoperability, data export, nondiscriminatory bidding and monitoring. It is a primary litigant statement, not a downloaded final court judgment resolving all implementation or appeal risk. Search remedies and their compliance disputes are separate. DOJ ad-tech announcement; Search status filing.

Modeled fee exposure	Current boundary
Eligible revenue	10% of Network advertising sales, not the whole Search business.
Conditional fee pressure / probability	8% fee reduction; 65% probability, beginning Q2 2027.
Underlying traffic costs	Retained at ordinary pre-price sales; lower realized fees do not remove serving traffic.
Extra compliance	USD 100 million annual budget weighted 75%, beyond ordinary legal expense.

Modeled fee exposure	Current boundary
Selected four-quarter effect	About USD 190 million lower revenue and USD 265 million lower OP.

The eligible wallet, fee change, probability and compliance budget are LOW estimates. No whole-Search loss or divestiture has been inserted. Further legal decisions or observed fee economics could change the bounded exposure.

GOOGL / ALPHABET / 21 OCTOBER 2026

Power and partner announcements share the same capacity envelope

Black Hills described 2,700 MW of resources including reserve margins, up to 590 MW grid-connected and about 2,100 MW third-party microgrid resources. Planned energy service begins late 2027 and peak load is in 2030. AEP later announced a 702 MW fuel-cell arrangement following the Cheyenne agreements. These gross resource measures can overlap and differ from continuously available IT load. 14 October AEP announcement.

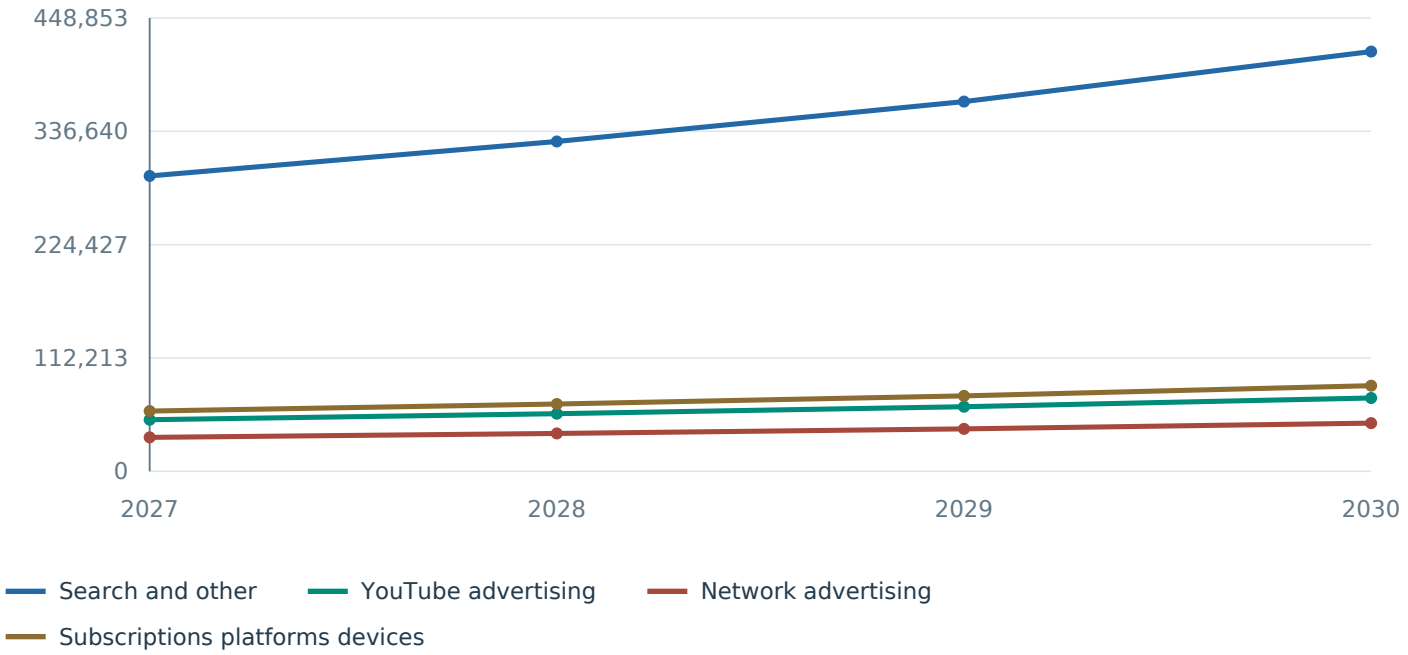
The power ledger uses a 70% probability linked to the existing Cloud conversion outcome, with 100% financial overlap and zero independent revenue or OP addition. It grants no second gigawatt wallet. Actual net IT load, PUE, commissioning, price, chip allocation and customer use remain unknown. Black Hills text was read through the primary website, while its original downloadable asset returned an access error.

Blackstone, Anthropic and other TPU relationships support existing Cloud, hardware and backlog demand. Their financing, system delivery and paid rental flows are separated. The same workload is not counted at every layer. Blackstone announcement; Anthropic expansion.

Services product sales through the forecast

Annual Services revenue by product

USD million per calendar year



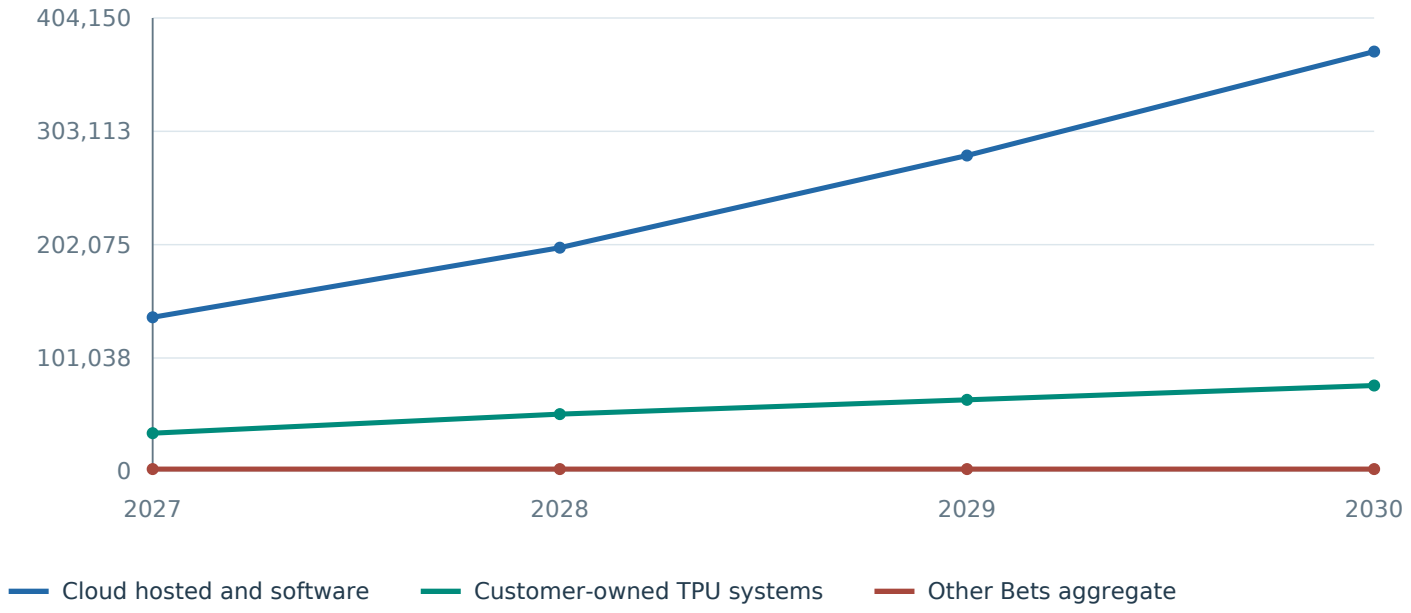
All observations are LOW model estimates. Fixed current product shares allocate the Services endpoint; they are not separate product guidance.

Calendar year	Search	YouTube ads	Network ads	Subscriptions / platforms / devices
2027	292,463	51,100	33,622	59,680
2028	326,595	57,064	37,501	66,644
2029	366,080	63,963	42,035	74,702
2030	415,605	72,616	47,721	84,808

Cloud and other products through the forecast

Annual hosted Cloud, customer systems and Other Bets revenue

USD million per calendar year



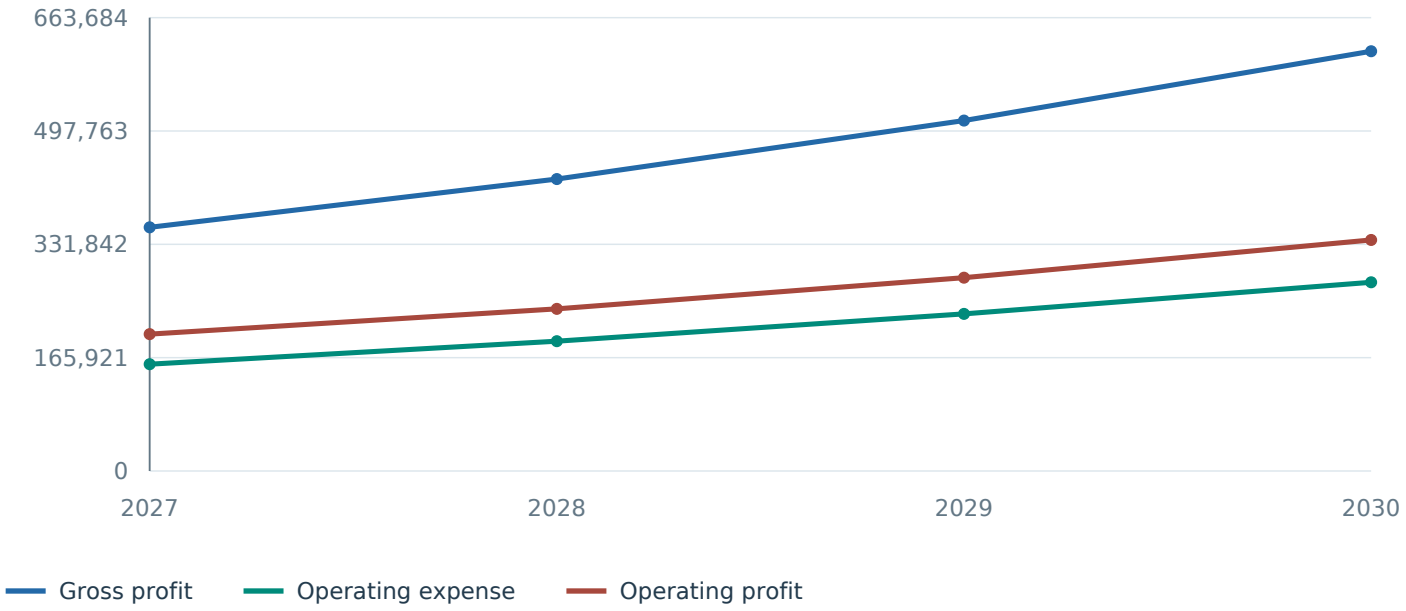
Probability-weighted hosted and customer-owned system sales remain inside the Cloud total. Other Bets is a LOW remaining/Waymo/residual aggregate; no standalone GFiber profit is fabricated.

Calendar year	Hosted / software	Customer-owned systems	Other Bets
2027	137,322	34,000	2,000
2028	199,378	51,000	2,000
2029	281,553	63,750	2,000
2030	374,213	76,500	2,000

Gross profit becomes operating profit after paid overhead

Annual gross profit, operating expense and operating profit

USD million per calendar year



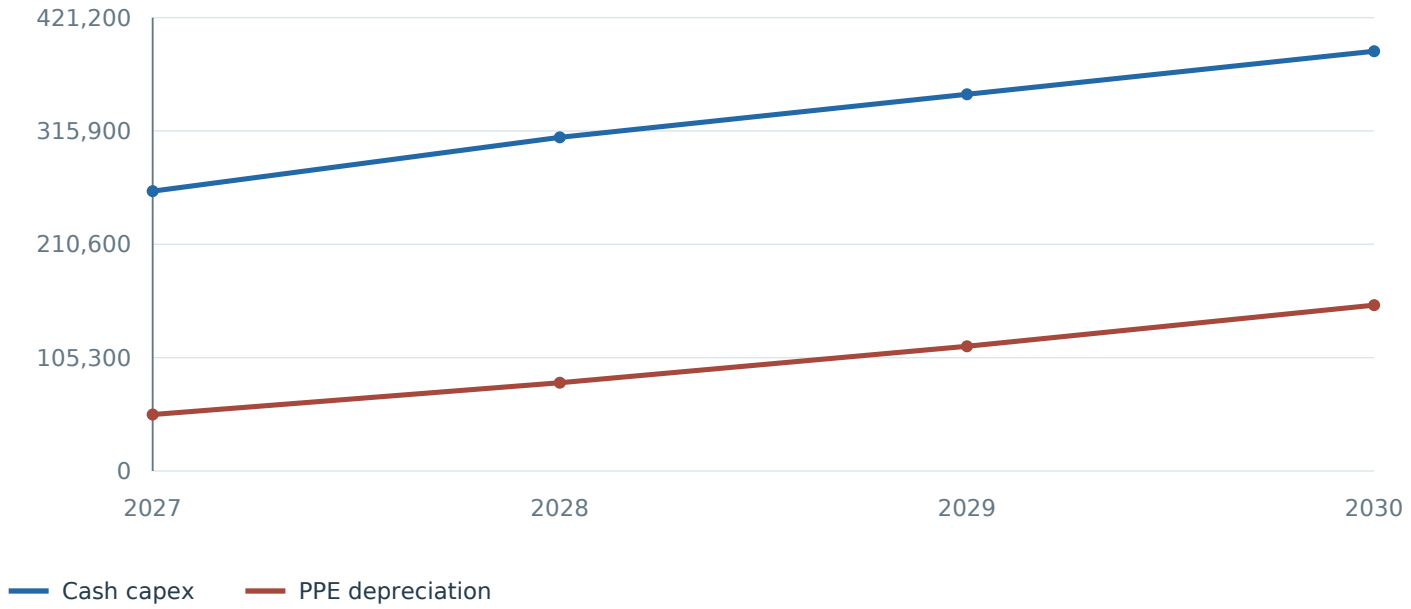
LOW future product allocation and expense bridge. Ordinary compensation, shared AI research, owned D&A, manufacturing and acquisition amortization remain paid.

Calendar year	Revenue	Gross profit	Operating expense	OP	OP margin
2027	610,187	356,739	156,367	200,372	33%
2028	740,182	427,399	190,031	237,367	32%
2029	894,084	513,029	230,017	283,012	32%
2030	1,073,464	614,522	276,278	338,244	32%

Cash investment and recognized depreciation have different timing

Annual cash capital expenditure and PPE depreciation

USD million per calendar year

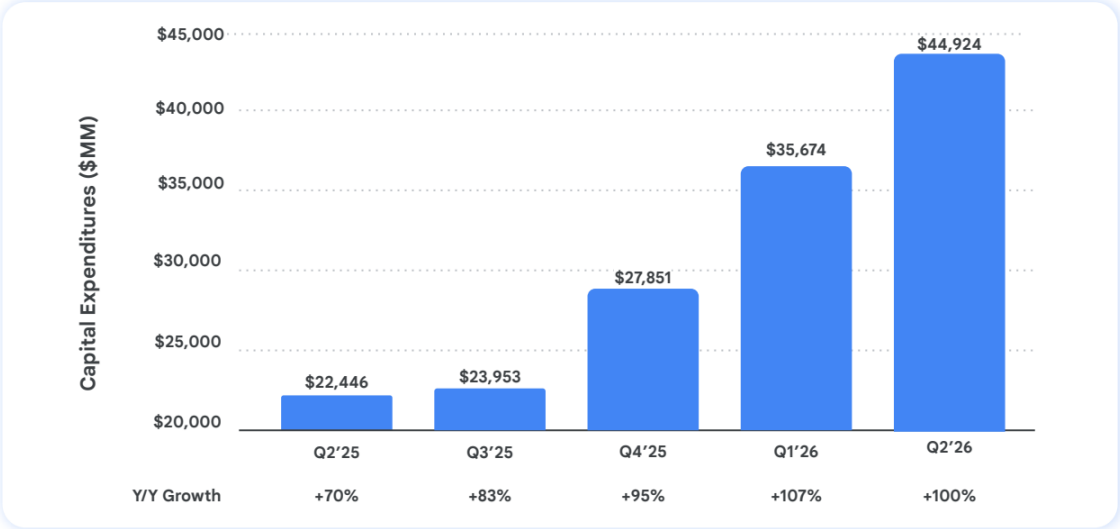


Future capex budgets are LOW assumptions. June CIP was already spent and adds D&A when ready, not another cash charge. Slower demand retains full paid capex.

Calendar year	Cash capex	PPE depreciation
2027	260,000	52,455
2028	310,000	81,999
2029	350,000	115,869
2030	390,000	154,076

Alphabet Capital Expenditures

in Millions, except Percentages; unaudited

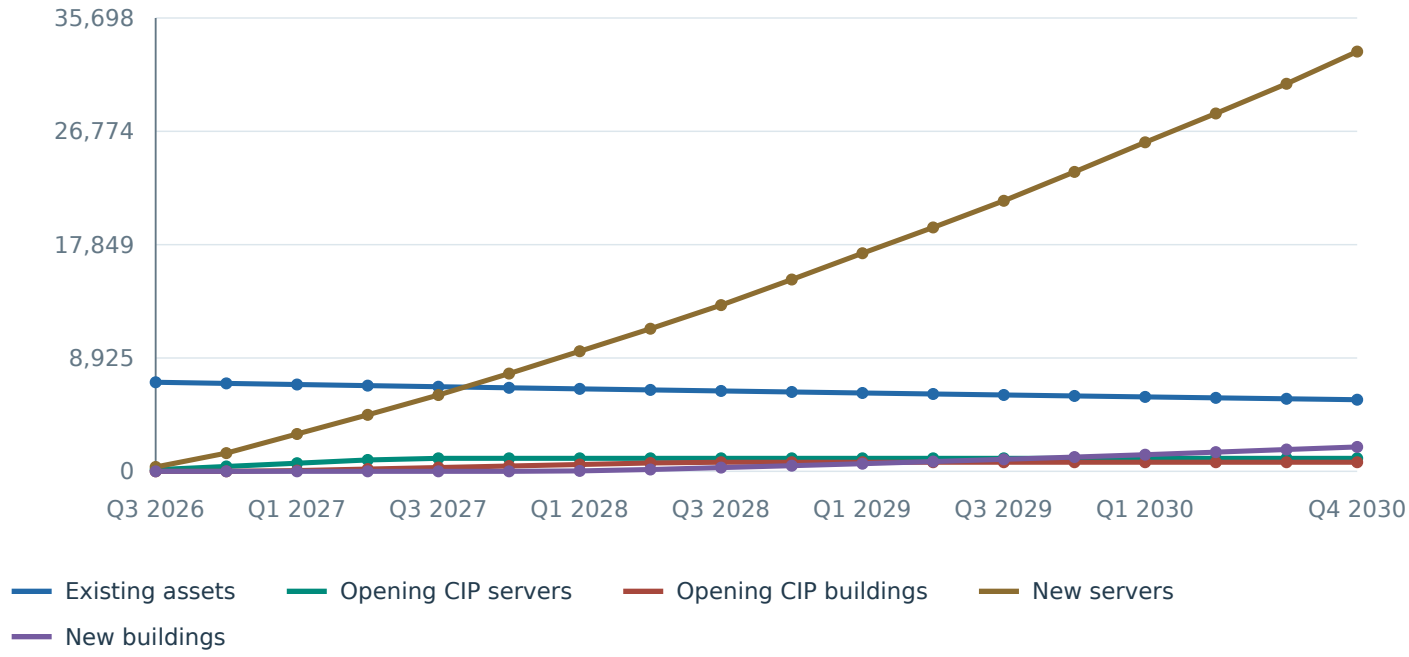


Q2 slide: reported historical cash capital expenditures. The model future budgets are distinct from these actual observations. Source: original issuer source, 2026-07-22, PDF page 10. Original image labels and units are preserved.

Quarterly depreciation by capital cohort

PPE depreciation by readiness cohort

USD million per quarter



Source useful-life policy plus LOW asset mix, readiness and retirement assumptions. Every new ready slice starts at half-quarter D&A. Land and not-ready slices stay outside expense.

Quarter	Existing assets	Opening CIP servers	Opening CIP buildings	New servers	New buildings	Total
Q3 2026	7,013	128	0	344	0	7,485
Q4 2026	6,924	384	0	1,434	0	8,742
Q1 2027	6,836	640	60	2,940	0	10,475
Q2 2027	6,749	896	179	4,448	0	12,271
Q3 2027	6,663	1,023	299	6,008	0	13,992
Q4 2027	6,578	1,023	418	7,698	0	15,717
Q1 2028	6,494	1,023	537	9,456	34	17,546
Q2 2028	6,411	1,023	657	11,229	143	19,464
Q3 2028	6,330	1,023	716	13,089	294	21,452
Q4 2028	6,249	1,023	716	15,104	445	23,537
Q1 2029	6,169	1,023	716	17,174	601	25,684

Quarter	Existing assets	Opening CIP servers	Opening CIP buildings	New servers	New buildings	Total
Q2 2029	6,091	1,023	716	19,204	770	27,804
Q3 2029	6,013	1,023	716	21,304	946	30,002
Q4 2029	5,937	1,023	716	23,579	1,123	32,378
Q1 2030	5,861	1,023	716	25,909	1,309	34,818
Q2 2030	5,786	1,023	716	28,179	1,510	37,215
Q3 2030	5,713	1,023	716	30,519	1,717	39,689
Q4 2030	5,640	1,023	716	33,054	1,920	42,354

Full quarterly operating forecast

Calendar quarter	Revenue	COGS	Gross profit	Opex	OP	OP margin
Q3 2026	126,850	49,531	77,319	32,678	44,641	35%
Q4 2026	139,403	54,036	85,367	34,724	50,643	36%
Q1 2027	137,316	55,610	81,706	36,627	45,079	33%
Q2 2027	146,524	61,062	85,462	38,145	47,317	32%
Q3 2027	155,773	65,011	90,762	39,655	51,107	33%
Q4 2027	170,574	71,765	98,809	41,940	56,869	33%
Q1 2028	166,475	71,646	94,829	44,055	50,774	30%
Q2 2028	177,430	75,605	101,825	46,151	55,674	31%
Q3 2028	189,385	79,905	109,480	48,392	61,089	32%
Q4 2028	206,892	85,627	121,265	51,434	69,831	34%
Q1 2029	201,725	87,695	114,030	53,509	60,521	30%
Q2 2029	214,523	92,246	122,277	55,919	66,357	31%
Q3 2029	228,320	97,143	131,177	58,475	72,701	32%
Q4 2029	249,516	103,970	145,545	62,113	83,432	33%
Q1 2030	243,583	106,150	137,433	64,537	72,896	30%
Q2 2030	258,231	111,351	146,879	67,283	79,597	31%
Q3 2030	273,877	116,897	156,980	70,174	86,807	32%
Q4 2030	297,773	124,544	173,229	74,284	98,944	33%

These are probability-weighted model quarters. The selected Q4 2027 row is highlighted; its valuation uses that quarter plus the next three. Group operating expense includes Services overhead, hosted Cloud overhead and fixed acquisition amortization, hardware support, Other Bets and shared AI expense.

Search and other: all eighteen product cost rows

Calendar quarter	Revenue	Variable COGS	Fixed non-D&A COGS	Owned PPE D&A	Total COGS	Gross profit
Q3 2026	65,587	12,893	3,109	952	16,954	48,632
Q4 2026	70,271	13,814	3,109	1,112	18,035	52,237
Q1 2027	67,594	13,287	3,265	1,332	17,885	49,710
Q2 2027	70,941	13,945	3,265	1,561	18,771	52,170
Q3 2027	74,287	14,603	3,265	1,780	19,648	54,639
Q4 2027	79,641	15,655	3,265	1,999	20,919	58,722
Q1 2028	75,625	14,866	3,428	2,232	20,526	55,100
Q2 2028	78,972	15,524	3,428	2,476	21,428	57,544
Q3 2028	82,987	16,313	3,428	2,729	22,470	60,517
Q4 2028	89,010	17,497	3,428	2,994	23,919	65,091
Q1 2029	84,326	16,576	3,599	3,267	23,443	60,883
Q2 2029	88,341	17,366	3,599	3,536	24,502	63,840
Q3 2029	93,026	18,287	3,599	3,816	25,702	67,324
Q4 2029	100,388	19,734	3,599	4,118	27,451	72,936
Q1 2030	95,703	18,813	3,779	4,429	27,021	68,682
Q2 2030	100,388	19,734	3,779	4,733	28,247	72,141
Q3 2030	105,742	20,786	3,779	5,048	29,614	76,128
Q4 2030	113,773	22,365	3,779	5,387	31,531	82,241

LOW analytical product allocation, with recognized revenue less total cost of revenue equal to gross profit. Services overhead is kept at segment level; shared AI overhead is outside these product gross-profit rows.

YouTube advertising: all eighteen product cost rows

Calendar quarter	Revenue	Variable COGS	Fixed non-D&A COGS	Owned PPE D&A	Total COGS	Gross profit
Q3 2026	11,460	5,632	1,358	416	7,406	4,054
Q4 2026	12,278	6,034	1,358	486	7,878	4,400
Q1 2027	11,810	5,804	1,426	582	7,812	3,998
Q2 2027	12,395	6,091	1,426	682	8,199	4,196
Q3 2027	12,980	6,379	1,426	777	8,582	4,397
Q4 2027	13,915	6,838	1,426	873	9,138	4,777
Q1 2028	13,214	6,494	1,497	975	8,966	4,248
Q2 2028	13,798	6,781	1,497	1,081	9,360	4,438
Q3 2028	14,500	7,126	1,497	1,192	9,815	4,685
Q4 2028	15,552	7,643	1,497	1,308	10,448	5,104
Q1 2029	14,734	7,241	1,572	1,427	10,240	4,494
Q2 2029	15,435	7,586	1,572	1,545	10,703	4,733
Q3 2029	16,254	7,988	1,572	1,667	11,227	5,027
Q4 2029	17,540	8,620	1,572	1,799	11,991	5,549
Q1 2030	16,722	8,218	1,651	1,934	11,803	4,919
Q2 2030	17,540	8,620	1,651	2,068	12,338	5,202
Q3 2030	18,476	9,080	1,651	2,205	12,936	5,540
Q4 2030	19,879	9,769	1,651	2,353	13,773	6,106

LOW analytical product allocation, with recognized revenue less total cost of revenue equal to gross profit. Services overhead is kept at segment level; shared AI overhead is outside these product gross-profit rows.

Network advertising: all eighteen product cost rows

Calendar quarter	Revenue	Variable COGS	Fixed non-D&A COGS	Owned PPE D&A	Total COGS	Gross profit
Q3 2026	7,570	4,293	1,035	317	5,645	1,925
Q4 2026	8,111	4,599	1,035	370	6,005	2,106
Q1 2027	7,802	4,424	1,087	444	5,955	1,847
Q2 2027	8,146	4,643	1,087	520	6,250	1,896
Q3 2027	8,530	4,862	1,087	593	6,542	1,988
Q4 2027	9,145	5,213	1,087	666	6,965	2,180
Q1 2028	8,684	4,950	1,141	743	6,834	1,849
Q2 2028	9,068	5,169	1,141	824	7,134	1,933
Q3 2028	9,529	5,432	1,141	908	7,481	2,047
Q4 2028	10,221	5,826	1,141	997	7,964	2,257
Q1 2029	9,683	5,519	1,198	1,088	7,805	1,877
Q2 2029	10,144	5,782	1,198	1,177	8,158	1,986
Q3 2029	10,682	6,089	1,198	1,271	8,558	2,124
Q4 2029	11,527	6,570	1,198	1,371	9,140	2,387
Q1 2030	10,989	6,264	1,258	1,475	8,997	1,992
Q2 2030	11,527	6,570	1,258	1,576	9,405	2,122
Q3 2030	12,142	6,921	1,258	1,681	9,860	2,282
Q4 2030	13,064	7,446	1,258	1,794	10,499	2,565

LOW analytical product allocation, with recognized revenue less total cost of revenue equal to gross profit. Services overhead is kept at segment level; shared AI overhead is outside these product gross-profit rows.

Subscriptions platforms devices: all eighteen product cost rows

Calendar quarter	Revenue	Variable COGS	Fixed non-D&A COGS	Owned PPE D&A	Total COGS	Gross profit
Q3 2026	13,384	5,565	1,342	411	7,318	6,065
Q4 2026	14,339	5,963	1,342	480	7,785	6,555
Q1 2027	13,793	5,736	1,409	575	7,720	6,073
Q2 2027	14,476	6,020	1,409	674	8,103	6,373
Q3 2027	15,159	6,304	1,409	768	8,481	6,678
Q4 2027	16,251	6,758	1,409	863	9,030	7,221
Q1 2028	15,432	6,417	1,480	963	8,860	6,572
Q2 2028	16,115	6,701	1,480	1,069	9,249	6,865
Q3 2028	16,934	7,042	1,480	1,178	9,699	7,235
Q4 2028	18,163	7,553	1,480	1,292	10,325	7,838
Q1 2029	17,207	7,155	1,554	1,410	10,119	7,088
Q2 2029	18,027	7,496	1,554	1,527	10,576	7,450
Q3 2029	18,983	7,894	1,554	1,647	11,095	7,888
Q4 2029	20,485	8,518	1,554	1,778	11,850	8,635
Q1 2030	19,529	8,121	1,631	1,912	11,664	7,865
Q2 2030	20,485	8,518	1,631	2,043	12,193	8,292
Q3 2030	21,578	8,973	1,631	2,179	12,783	8,794
Q4 2030	23,216	9,654	1,631	2,325	13,611	9,605

LOW analytical product allocation, with recognized revenue less total cost of revenue equal to gross profit. Services overhead is kept at segment level; shared AI overhead is outside these product gross-profit rows.

Cloud hosted and software: all eighteen product cost rows

Calendar quarter	Revenue	Variable COGS	Fixed non-D&A COGS	Owned PPE D&A	Total COGS	Gross profit
Q3 2026	27,175	5,144	2,575	3,293	11,012	16,163
Q4 2026	31,778	6,019	2,575	3,846	12,440	19,338
Q1 2027	32,416	6,148	2,631	4,609	13,388	19,028
Q2 2027	33,267	6,309	2,631	5,399	14,340	18,927
Q3 2027	34,118	6,471	1,181	6,157	13,808	20,309
Q4 2027	37,522	7,116	1,181	6,915	15,213	22,309
Q1 2028	40,270	7,638	1,240	7,720	16,598	23,673
Q2 2028	46,228	8,768	1,240	8,564	18,572	27,656
Q3 2028	52,185	9,897	1,240	9,439	20,576	31,608
Q4 2028	60,695	11,512	1,240	10,356	23,108	37,587
Q1 2029	59,338	11,232	1,302	11,301	23,834	35,504
Q2 2029	66,138	12,519	1,302	12,234	26,055	40,084
Q3 2029	72,938	13,806	1,302	13,201	28,309	44,629
Q4 2029	83,138	15,736	1,302	14,246	31,285	51,853
Q1 2030	81,016	15,335	1,367	15,320	32,022	48,994
Q2 2030	88,666	16,783	1,367	16,375	34,525	54,141
Q3 2030	96,316	18,231	1,367	17,463	37,061	59,255
Q4 2030	108,216	20,483	1,367	18,636	40,486	67,730

LOW hosted allocation includes ordinary variable serving cost, paid fixed inputs, current owned D&A and the finite marginal technology costs. Hosting and customer-owned system economics are separate parts of the same Cloud total.

Customer-owned TPU systems: all eighteen product cost rows

Calendar quarter	Revenue	Variable COGS	Fixed non-D&A COGS	Owned PPE D&A	Total COGS	Gross profit
Q3 2026	1,275	956	0	0	956	319
Q4 2026	2,125	1,594	0	0	1,594	531
Q1 2027	3,400	2,550	0	0	2,550	850
Q2 2027	6,800	5,100	0	0	5,100	1,700
Q3 2027	10,200	7,650	0	0	7,650	2,550
Q4 2027	13,600	10,200	0	0	10,200	3,400
Q1 2028	12,750	9,562	0	0	9,562	3,188
Q2 2028	12,750	9,562	0	0	9,562	3,188
Q3 2028	12,750	9,562	0	0	9,562	3,188
Q4 2028	12,750	9,562	0	0	9,562	3,188
Q1 2029	15,938	11,953	0	0	11,953	3,984
Q2 2029	15,938	11,953	0	0	11,953	3,984
Q3 2029	15,938	11,953	0	0	11,953	3,984
Q4 2029	15,938	11,953	0	0	11,953	3,984
Q1 2030	19,125	14,344	0	0	14,344	4,781
Q2 2030	19,125	14,344	0	0	14,344	4,781
Q3 2030	19,125	14,344	0	0	14,344	4,781
Q4 2030	19,125	14,344	0	0	14,344	4,781

LOW analytical product allocation. Customer-owned hardware manufacturing follows recognized sales, with the support budget in operating expense. Owned hosted infrastructure and shared development costs remain elsewhere in the group bridge.

Other Bets aggregate: all eighteen product cost rows

Calendar quarter	Revenue	Variable COGS	Fixed non-D&A COGS	Owned PPE D&A	Total COGS	Gross profit
Q3 2026	400	240	0	0	240	160
Q4 2026	500	300	0	0	300	200
Q1 2027	500	300	0	0	300	200
Q2 2027	500	300	0	0	300	200
Q3 2027	500	300	0	0	300	200
Q4 2027	500	300	0	0	300	200
Q1 2028	500	300	0	0	300	200
Q2 2028	500	300	0	0	300	200
Q3 2028	500	300	0	0	300	200
Q4 2028	500	300	0	0	300	200
Q1 2029	500	300	0	0	300	200
Q2 2029	500	300	0	0	300	200
Q3 2029	500	300	0	0	300	200
Q4 2029	500	300	0	0	300	200
Q1 2030	500	300	0	0	300	200
Q2 2030	500	300	0	0	300	200
Q3 2030	500	300	0	0	300	200
Q4 2030	500	300	0	0	300	200

LOW analytical product allocation. The segment and group expense panels retain operating overhead and shared costs. Other Bets is a remaining/Waymo/residual aggregate with a separate source-decomposition gap.

Services overhead: ordinary costs and compliance

Quarter	Variable non-D&A opex	Fixed non-D&A opex	Owned D&A in opex	Extra compliance	Total Services opex
Q3 2026	12,179	5,035	524	0	17,738
Q4 2026	13,049	5,035	612	0	18,696
Q1 2027	12,552	5,287	733	0	18,572
Q2 2027	13,173	5,287	859	19	19,338
Q3 2027	13,795	5,287	979	19	20,080
Q4 2027	14,789	5,287	1,100	19	21,195
Q1 2028	14,043	5,551	1,228	19	20,841
Q2 2028	14,664	5,551	1,362	19	21,597
Q3 2028	15,410	5,551	1,502	19	22,482
Q4 2028	16,529	5,551	1,648	19	23,746
Q1 2029	15,659	5,829	1,798	19	23,304
Q2 2029	16,404	5,829	1,946	19	24,198
Q3 2029	17,274	5,829	2,100	19	25,222
Q4 2029	18,641	5,829	2,266	19	26,755
Q1 2030	17,771	6,120	2,437	19	26,348
Q2 2030	18,641	6,120	2,605	19	27,385
Q3 2030	19,635	6,120	2,778	19	28,553
Q4 2030	21,127	6,120	2,965	19	30,231

The current legal principal is excluded only from recurring calibration. Future ordinary legal, administration, R&D, sales and compensation expenses remain. Revenue fee pressure is separate from compliance cost and does not erase underlying traffic cost.

Cloud overhead and shared development costs

Quarter	Hosted non-D&A opex	Owned D&A in Cloud opex	Wiz amortization	Hardware support	Other Bets opex	Shared AI expense
Q3 2026	5,881	823	248	102	1,952	5,933
Q4 2026	6,604	962	248	170	1,952	6,059
Q1 2027	6,828	1,152	248	272	2,245	7,269
Q2 2027	6,962	1,350	248	544	2,245	7,449
Q3 2027	7,096	1,539	248	816	2,245	7,621
Q4 2027	7,631	1,729	248	1,088	2,245	7,793
Q1 2028	8,202	1,930	248	1,020	2,581	9,220
Q2 2028	9,139	2,141	248	1,020	2,581	9,412
Q3 2028	10,075	2,360	248	1,020	2,581	9,611
Q4 2028	11,413	2,589	248	1,020	2,581	9,820
Q1 2029	11,361	2,825	248	1,275	2,968	11,527
Q2 2029	12,431	3,058	248	1,275	2,968	11,739
Q3 2029	13,502	3,300	248	1,275	2,968	11,959
Q4 2029	15,108	3,562	248	1,275	2,968	12,197
Q1 2030	14,935	3,830	248	1,530	3,414	14,233
Q2 2030	16,139	4,094	248	1,530	3,414	14,472
Q3 2030	17,344	4,366	248	1,530	3,414	14,720
Q4 2030	19,217	4,659	248	1,530	3,414	14,986

Shared non-depreciation AI expense grows 20% annually from its derived Q2 base, while allocated PPE D&A is added once. Other Bets operating expense grows 15% annually. Ordinary SBC and staff costs remain in the earnings forecast; no research or compensation addback inflates the target. The finite technology panel below completes hosted marginal operating costs.

Finite event revenue, costs and operating profit

Quarter	Argon added revenue	Argon compute / support	Argon OP	Torch added revenue	Torch all marginal costs	Torch OP
Q3 2026	0	0	0	0	0	0
Q4 2026	7	6	1	6	34	-28
Q1 2027	20	17	3	19	43	-23
Q2 2027	21	18	3	20	13	7
Q3 2027	21	18	3	20	13	7
Q4 2027	23	20	4	22	14	8
Q1 2028	25	21	4	24	15	9
Q2 2028	29	25	4	28	17	11
Q3 2028	33	28	5	31	19	13
Q4 2028	38	32	6	36	21	15
Q1 2029	0	0	0	0	0	0
Q2 2029	0	0	0	0	0	0
Q3 2029	0	0	0	0	0	0
Q4 2029	0	0	0	0	0	0
Q1 2030	0	0	0	0	0	0
Q2 2030	0	0	0	0	0	0
Q3 2030	0	0	0	0	0	0
Q4 2030	0	0	0	0	0	0

An early negative Torch operating contribution reflects paid engineering and support before enough residual adoption revenue. Zero rows from 2029 reflect the explicit finite-event expiry. The cost inputs, probabilities and overlap are estimates, not source-reported contract profitability.

Eighty-two depreciation cohorts: an auditable schedule

The following grouped panels cover every modeled server and building slice. Capital is USD million; D&A columns show the selected Q4 2027 quarter and Q4 2030. A ready index beyond the forecast means paid capital remains not ready through Q4 2030. Index 0 is Q3 2026; each step is one calendar quarter. The first ready quarter incurs half a full quarterly depreciation charge.

Land is kept outside these depreciable rows: June CIP land is about USD 12,281 million, while modeled new land cash across the horizon is USD 142,940 million. Neither receives D&A. Existing in-service assets use the separately disclosed smooth retirement proxy.

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Capital cohort schedule: 1-12

Slice	Capital origin	Asset	USD M	First ready	Life years	Q4 2027 D&A	Q4 2030 D&A
1	Opening CIP	Server / network	6,141	Q3 2026	6	256	256
2	Opening CIP	Server / network	6,141	Q4 2026	6	256	256
3	Opening CIP	Server / network	6,141	Q1 2027	6	256	256
4	Opening CIP	Server / network	6,141	Q2 2027	6	256	256
5	Opening CIP	Building	14,328	Q1 2027	30	119	119
6	Opening CIP	Building	14,328	Q2 2027	30	119	119
7	Opening CIP	Building	14,328	Q3 2027	30	119	119
8	Opening CIP	Building	14,328	Q4 2027	30	60	119
9	Opening CIP	Building	14,328	Q1 2028	30	0	119
10	Opening CIP	Building	14,328	Q2 2028	30	0	119
11	Q3 2026 cash	Server / network	16,500	Q3 2026	6	688	688
12	Q3 2026 cash	Server / network	16,500	Q4 2026	6	688	688

Capital cohort schedule: 13-24

Slice	Capital origin	Asset	USD M	First ready	Life years	Q4 2027 D&A	Q4 2030 D&A
13	Q3 2026 cash	Building	8,250	Q1 2028	30	0	69
14	Q3 2026 cash	Building	8,250	Q2 2028	30	0	69
15	Q4 2026 cash	Server / network	19,321	Q4 2026	6	805	805
16	Q4 2026 cash	Server / network	19,321	Q1 2027	6	805	805
17	Q4 2026 cash	Building	9,660	Q2 2028	30	0	81
18	Q4 2026 cash	Building	9,660	Q3 2028	30	0	81
19	Q1 2027 cash	Server / network	17,160	Q1 2027	6	715	715
20	Q1 2027 cash	Server / network	17,160	Q2 2027	6	715	715
21	Q1 2027 cash	Building	8,580	Q3 2028	30	0	72
22	Q1 2027 cash	Building	8,580	Q4 2028	30	0	72
23	Q2 2027 cash	Server / network	18,720	Q2 2027	6	780	780
24	Q2 2027 cash	Server / network	18,720	Q3 2027	6	780	780

Capital cohort schedule: 25-36

Slice	Capital origin	Asset	USD M	First ready	Life years	Q4 2027 D&A	Q4 2030 D&A
25	Q2 2027 cash	Building	9,360	Q4 2028	30	0	78
26	Q2 2027 cash	Building	9,360	Q1 2029	30	0	78
27	Q3 2027 cash	Server / network	20,280	Q3 2027	6	845	845
28	Q3 2027 cash	Server / network	20,280	Q4 2027	6	422	845
29	Q3 2027 cash	Building	10,140	Q1 2029	30	0	84
30	Q3 2027 cash	Building	10,140	Q2 2029	30	0	84
31	Q4 2027 cash	Server / network	21,840	Q4 2027	6	455	910
32	Q4 2027 cash	Server / network	21,840	Q1 2028	6	0	910
33	Q4 2027 cash	Building	10,920	Q2 2029	30	0	91
34	Q4 2027 cash	Building	10,920	Q3 2029	30	0	91
35	Q1 2028 cash	Server / network	20,460	Q1 2028	6	0	852
36	Q1 2028 cash	Server / network	20,460	Q2 2028	6	0	852

Capital cohort schedule: 37-48

Slice	Capital origin	Asset	USD M	First ready	Life years	Q4 2027 D&A	Q4 2030 D&A
37	Q1 2028 cash	Building	10,230	Q3 2029	30	0	85
38	Q1 2028 cash	Building	10,230	Q4 2029	30	0	85
39	Q2 2028 cash	Server / network	22,320	Q2 2028	6	0	930
40	Q2 2028 cash	Server / network	22,320	Q3 2028	6	0	930
41	Q2 2028 cash	Building	11,160	Q4 2029	30	0	93
42	Q2 2028 cash	Building	11,160	Q1 2030	30	0	93
43	Q3 2028 cash	Server / network	24,180	Q3 2028	6	0	1,008
44	Q3 2028 cash	Server / network	24,180	Q4 2028	6	0	1,008
45	Q3 2028 cash	Building	12,090	Q1 2030	30	0	101
46	Q3 2028 cash	Building	12,090	Q2 2030	30	0	101
47	Q4 2028 cash	Server / network	26,040	Q4 2028	6	0	1,085
48	Q4 2028 cash	Server / network	26,040	Q1 2029	6	0	1,085

Capital cohort schedule: 49-60

Slice	Capital origin	Asset	USD M	First ready	Life years	Q4 2027 D&A	Q4 2030 D&A
49	Q4 2028 cash	Building	13,020	Q2 2030	30	0	109
50	Q4 2028 cash	Building	13,020	Q3 2030	30	0	109
51	Q1 2029 cash	Server / network	23,100	Q1 2029	6	0	962
52	Q1 2029 cash	Server / network	23,100	Q2 2029	6	0	962
53	Q1 2029 cash	Building	11,550	Q3 2030	30	0	96
54	Q1 2029 cash	Building	11,550	Q4 2030	30	0	48
55	Q2 2029 cash	Server / network	25,200	Q2 2029	6	0	1,050
56	Q2 2029 cash	Server / network	25,200	Q3 2029	6	0	1,050
57	Q2 2029 cash	Building	12,600	Q4 2030	30	0	52
58	Q2 2029 cash	Building	12,600	Beyond horizon; index 18	30	0	0
59	Q3 2029 cash	Server / network	27,300	Q3 2029	6	0	1,138
60	Q3 2029 cash	Server / network	27,300	Q4 2029	6	0	1,138

Capital cohort schedule: 61-72

Slice	Capital origin	Asset	USD M	First ready	Life years	Q4 2027 D&A	Q4 2030 D&A
61	Q3 2029 cash	Building	13,650	Beyond horizon; index 18	30	0	0
62	Q3 2029 cash	Building	13,650	Beyond horizon; index 19	30	0	0
63	Q4 2029 cash	Server / network	29,400	Q4 2029	6	0	1,225
64	Q4 2029 cash	Server / network	29,400	Q1 2030	6	0	1,225
65	Q4 2029 cash	Building	14,700	Beyond horizon; index 19	30	0	0
66	Q4 2029 cash	Building	14,700	Beyond horizon; index 20	30	0	0
67	Q1 2030 cash	Server / network	25,740	Q1 2030	6	0	1,072
68	Q1 2030 cash	Server / network	25,740	Q2 2030	6	0	1,072
69	Q1 2030 cash	Building	12,870	Beyond horizon; index 20	30	0	0
70	Q1 2030 cash	Building	12,870	Beyond horizon; index 21	30	0	0
71	Q2 2030 cash	Server / network	28,080	Q2 2030	6	0	1,170
72	Q2 2030 cash	Server / network	28,080	Q3 2030	6	0	1,170

Capital cohort schedule: 73-82

Slice	Capital origin	Asset	USD M	First ready	Life years	Q4 2027 D&A	Q4 2030 D&A
73	Q2 2030 cash	Building	14,040	Beyond horizon; index 21	30	0	0
74	Q2 2030 cash	Building	14,040	Beyond horizon; index 22	30	0	0
75	Q3 2030 cash	Server / network	30,420	Q3 2030	6	0	1,268
76	Q3 2030 cash	Server / network	30,420	Q4 2030	6	0	634
77	Q3 2030 cash	Building	15,210	Beyond horizon; index 22	30	0	0
78	Q3 2030 cash	Building	15,210	Beyond horizon; index 23	30	0	0
79	Q4 2030 cash	Server / network	32,760	Q4 2030	6	0	683
80	Q4 2030 cash	Server / network	32,760	Beyond horizon; index 18	6	0	0
81	Q4 2030 cash	Building	16,380	Beyond horizon; index 23	30	0	0
82	Q4 2030 cash	Building	16,380	Beyond horizon; index 24	30	0	0

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Cash availability and source-level dilution

June cash and marketable securities total USD 242,474 million. This includes USD 87,063 million of current marketable equities, including restricted SpaceX stock. Removing current equities gives the model USD 155,411 million starting liquid-capital proxy, including debt securities with their own liquidity and maturity attributes. Cash and equivalents alone are USD 55,911 million. No stake sale or collateral advance is assumed.

Share bridge	Whole common-equivalent shares	Scope
Q2 weighted basic	12,151,000,000	Source rounded to millions; retained starting-quarter convention.
Q2 treasury-method award effect	142,000,000	Price / vesting sensitive; not gross outstanding awards.
Full upper preferred equivalent	54,458,250	Replaces the 16 million time-weighted preferred effect.
Selected forward denominator	12,347,458,250	Arithmetic proxy; not actual one-share precision of future issuance.
Alternative current-issued basis	12,426,458,250	Sensitivity only; no active-method switch.

	Three Months Ended June 30,							
	2025				2026			
	Class A	Class B	Class C	Consolidated	Class A	Class B	Class C	Consolidated
Basic net income per common share:								
Numerator								
Allocation of distributed earnings (cash dividends paid to common stockholders)	$ 1,222	$ 178	$ 1,143	$ 2,543	$ 1,291	$ 184	$ 1,214	$ 2,689
Allocation of undistributed earnings	12,314	1,803	11,536	25,653	52,552	7,519	49,347	109,418
Net income available to common stockholders	$ 13,536	$ 1,981	$ 12,679	$ 28,196	$ 53,843	$ 7,703	$ 50,561	$ 112,107
Denominator								
Number of shares used in per share computation	5,819	852	5,451	12,122	5,836	835	5,480	12,151
Basic net income per common share	$ 2.33	$ 2.33	$ 2.33	$ 2.33	$ 9.23	$ 9.23	$ 9.23	$ 9.23
Diluted net income per common share:								
Numerator								
Allocation of total earnings for basic computation	$ 13,536	$ 1,981	$ 12,679	$ 28,196	$ 53,843	$ 7,703	$ 50,561	$ 112,107
Reallocation of total earnings as a result of conversion of Class B to Class A shares	1,981	0	0	_[1]	7,703	0	0	_[1]
Preferred stock dividends declared and accumulated[2]	0	0	0	0	47	0	39	86
Reallocation of undistributed earnings	(88)	(11)	88	_[1]	(700)	(91)	700	_[1]
Net income	$ 15,429	$ 1,970	$ 12,767	$ 28,196	$ 60,893	$ 7,612	$ 51,300	112,193
Denominator								
Number of shares used in basic computation	5,819	852	5,451	12,122	5,836	835	5,480	12,151
Weighted-average effect of dilutive securities								
Add:								
Conversion of Class B to Class A shares outstanding	852	0	0	_[1]	835	0	0	_[1]
Restricted stock units and other contingently issuable shares	0	0	76	76	0	0	142	142
Conversion of preferred stock[2]	0	0	0	0	8	0	8	16
Number of shares used in per share computation	6,671	852	5,527	12,198	6,679	835	5,630	12,309
Diluted net income per common share	$ 2.31	$ 2.31	$ 2.31	$ 2.31	$ 9.12	$ 9.12	$ 9.11	$ 9.11

(1) Not applicable for consolidated net income per common share.

(2) Preferred dividends are added back and preferred shares are assumed to have converted to common pursuant to the if-converted method.

Q2 consolidated diluted denominator. Weighted basic, treasury-method awards and time-weighted preferred equivalents have distinct scopes. Source: original issuer source, 2026-07-23, PDF page 38. Original image labels and units are preserved.

The preferred full conversion is already present in valuation. The May 2029 mandatory event therefore creates no second step in the share denominator. Gross unvested awards are not added on top of the treasury-method effect. Optional ATM sales and buybacks remain unknown rather than assumed to cancel one another.

Preferred conversion and cash dividends

and uncertainty of these matters and judicial process in certain jurisdictions, the final outcome may be materially different from our expectations.

See Note 14 for further details regarding income tax contingencies.

Note 11. Stockholders' Equity

Common Stock Issuance

On June 4, 2026, the company completed an underwritten public offering of 29 million Class A shares at a price of $355.1982 per share and 29 million Class C shares at a price of $351.8018 per share. All shares have a par value of $0.001 per share.

Concurrently with the public offering, on June 4, 2026, the company completed a private placement of 14 million Class A and 14 million Class C shares to an affiliate of Berkshire Hathaway Inc. (the “private placement”). The shares were issued in a private placement pursuant to an exemption from registration under section 4(a)(2) of the Securities Act of 1933, as amended.

The net proceeds received by the company were $20.5 billion from the public offering and $10.0 billion from the private placement, after deducting underwriting discounts, commissions, and direct offering expenses which were recorded as a reduction to common stock and APIC. These proceeds will be used for general corporate purposes, including capital expenditures to scale AI infrastructure and global compute.

Mandatory Convertible Preferred Stock

On June 5, 2026, the company issued an aggregate amount of 385 million Series A and Series B depositary shares, representing 19 million shares of 6.25% Mandatory Convertible Preferred Stock, split evenly into Series A (indexed to Class A stock) and Series B (indexed to Class C stock). Each depositary share represents a 1/20th fractional interest in a share of preferred stock.

The mandatory convertible preferred stock has a par value of $0.001 per share and liquidation preference of $1,000 per share ($50 per depositary share). Aggregate net proceeds were $19.0 billion which will be used for general corporate purposes, including capital expenditures to scale AI infrastructure and global compute. Gross proceeds were reduced by underwriting discounts and offering expenses, which were recorded as a reduction to preferred stock and APIC.

Dividends are cumulative at an annual rate of 6.25% on the liquidation preference of $1,000 per share of mandatory convertible preferred stock and may be paid in cash, shares of common stock, or a combination of cash and shares of common stock, at the company’s election. Dividends that are declared will be payable quarterly on February 15, May 15, August 15, and November 15 of each year, commencing on August 15, 2026 and ending on, and including May 15, 2029 with the record date being the first of the respective month.

Unless earlier converted, each outstanding share will automatically convert on the mandatory conversion date, which is on or about May 15, 2029. The conversion rate for each share of our Series A mandatory convertible preferred stock will be between 2.2520 and 2.8160 shares of Class A stock, and Series B mandatory convertible preferred stock will convert into between 2.2740 and 2.8420 shares of Class C stock, depending on the applicable market value of our Class A and Class C stock upon conversion and subject to certain anti-dilution adjustments. The applicable market value will be determined based on the average volume-weighted average price per share over the 20 consecutive trading day final averaging period ending immediately prior to the mandatory conversion date.

If a fundamental change occurs on or prior to May 15, 2029, holders of mandatory convertible preferred stock will automatically convert into Class A or Class C shares, as applicable, at a special fundamental change conversion rate and, under certain circumstances, receive a fundamental change dividend make-whole amount. Other than during a fundamental change conversion period, at any time prior to May 15, 2029, holders may elect to convert at the minimum conversion rate, subject to certain anti-dilution and other adjustments.

The mandatory convertible preferred stock is not redeemable at the company’s election before the mandatory conversion date. Holders of the mandatory convertible preferred stock will not have any voting rights, with limited exceptions.

Capped Call Transactions

In connection with the issuance of the 385 million Series A and Series B depositary shares, representing 19 million shares of mandatory convertible preferred stock, the company entered into privately negotiated capped call transactions with certain financial institutions.

Q2 preferred note: depositary units, underlying preferred shares and conversion terms. Twenty depositary shares represent one underlying preferred. Source: original issuer source, 2026-07-23, PDF page 35. Original image labels and units are preserved.

Common Stock or through any combination of cash and shares of Class A Common Stock, as determined by Alphabet's board of directors (or an authorized committee thereof) in its sole discretion. Declared dividends on the Series A Mandatory Convertible Preferred Stock will be payable quarterly on February 15, May 15, August 15 and November 15 of each year to, and including, May 15, 2029, commencing on, and including, August 15, 2026. Unless earlier converted, each share of Series A Mandatory Convertible Preferred Stock will automatically convert on the second business day immediately following the last trading day of the final averaging period into between 2.2520 and 2.8160 shares of Class A Common Stock (and, correspondingly, each Series A depositary share will automatically convert into between 0.1126 and 0.1408 shares of Class A Common Stock), subject to customary anti-dilution adjustments, determined based on the volume-weighted average price of the Class A Common Stock over the 20 consecutive trading day period beginning on, and including, the 21st scheduled trading day prior to May 15, 2029. Other than during a fundamental change conversion period (as defined in the prospectus supplement relating to the offering), at any time prior to May 15, 2029, a holder of 20 Series A depositary shares may cause the bank depositary to convert one share of preferred stock of the corresponding series, on such holder's behalf, into a number of shares of Class A Common Stock equal to the minimum conversion rate of 2.2520, subject to certain anti-dilution and other adjustments. The shares of Series B Mandatory Convertible Preferred Stock will accumulate dividends at a rate per annum equal to 6.25% on the liquidation preference thereof, which is $1,000 per share, payable in cash or, subject to certain limitations, by delivery of shares of Class C Capital Stock or through any combination of cash and shares of Class C Capital Stock, as determined by Alphabet's board of directors (or an authorized committee thereof) in its sole discretion. Declared dividends on the Series B Mandatory Convertible Preferred Stock will be payable quarterly on February 15, May 15, August 15 and November 15 of each year to, and including, May 15, 2029, commencing on, and including, August 15, 2026. Unless earlier converted, each share of Series B Mandatory Convertible Preferred Stock will automatically convert on the second business day immediately following the last trading day of the final averaging period into between 2.2740 and 2.8420 shares of Class C Capital Stock (and, correspondingly, each Series B depositary share will automatically convert into between 0.1137 and 0.1421 shares of Class C Capital Stock), subject to customary anti-dilution adjustments, determined based on the volume-weighted average price of the Class C Capital Stock over the 20 consecutive trading day period beginning on, and including, the 21st scheduled trading day prior to May 15, 2029. Other than during a fundamental change conversion period (as defined in the prospectus supplement relating to the offering), at any time prior to May 15, 2029, a holder of 20 Series B depositary shares may cause the bank depositary to convert one share of preferred stock of the corresponding series, on such holder's behalf, into a number of shares of Class C Capital Stock equal to the minimum conversion rate of 2.2740, subject to certain anti-dilution and other adjustments. Currently, there is no public market for the depositary shares or the preferred stock of either series. Alphabet has applied to list each series of the depositary shares on The Nasdaq Global Select Market under the symbols "GOOGM" and "GOOGN."

Capped Call Transactions

In connection with the pricing of each offering of depositary shares representing mandatory convertible preferred stock, Alphabet has entered into privately negotiated capped call transactions with one or more option counterparties comprising one or more of the underwriters of the depositary share offerings and/or their respective affiliates and/or other financial institutions. The capped call transactions will cover, subject to customary anti-dilution adjustments, the number of shares of Class A Common Stock and Class C Capital Stock underlying the preferred stock sold in the depositary share offerings, based on the respective minimum conversion rates of each series of the preferred stock. The cap price of the capped call transactions relating to the depositary shares representing the Series A Mandatory Convertible Preferred Stock is initially $532.6704 per share of the Class A Common Stock, which represents a premium of approximately 50.0% over the public offering price of the Class A Common Stock in Alphabet's concurrently priced registered public offering of Class A Common Stock. The cap price of the capped call transactions relating to the depositary shares representing the Series B Mandatory Convertible Preferred Stock is initially $527.7974 per share of the Class C Capital Stock, which represents a premium of approximately 50.0% over the public offering price of the Class C Capital Stock in Alphabet's concurrently priced registered public offering of Class C Capital Stock. Each cap price will be subject to certain adjustments under the terms of the relevant capped call transactions. The capped call transactions are generally expected to reduce potential dilution to Alphabet's Class A Common Stock or Class C Capital Stock, as applicable, upon conversion of the relevant series of preferred stock, with such reduction subject to a cap. If the underwriters of either series of depositary shares exercise their over-allotment option to purchase additional depositary shares, Alphabet expects to enter into additional capped call transactions with the relevant option counterparties.

Original pricing release: distinct Series A and Series B conversion factors. The exact source factors remain on the original exhibit; report share totals use the full arithmetic. Source: original issuer source, 2026-06-02, PDF page 2. Original image labels and units are preserved.

The 385,000,000 depositary units represent 19,250,000 underlying preferred shares, evenly split between the two series. The upper common conversion equivalent is 54,458,250 shares. Source rounded basic-share inputs limit precision even when the arithmetic is shown in whole shares.

The first preferred cash dividend is about USD 234 million; the normal quarter is about USD 301 million through Q2 2029. The source allows cash or common shares; the forecast conservatively chooses cash. Common dividends use the source 22-cent rate with current issued shares, adding assumed converted shares to the common cash base once from Q2 2029. Dividends are cash uses below OP, not another operating cost.

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SBC, award cash and operating profit are different scopes

Q2 cash-flow SBC addback is USD 7,957 million, while the note describes about USD 8,000 million of total SBC. Net award cash payments are USD 6,573 million. The cash model scales these different source bases separately with ordinary activity, adding back noncash expense and subtracting award settlement cash once. It does not call all compensation free earnings.

The USD 40 billion ATM had no sales as of June and has a source-stated employee-award tax purpose. It is not an assumed capex financing receipt. H1 buybacks were zero, so the unspent authorization does not automatically neutralize dilution. Future settlement method, price, grants, vesting, payroll taxes, capped-call outcomes and post-June issuance remain gaps.

Note 13. Compensation Plans

Stock-Based Compensation

For the three months ended June 30, 2025 and 2026, total stock-based compensation (SBC) expense was $6.0 billion and $8.0 billion, including amounts associated with awards we expect to settle in Alphabet stock of $5.8 billion and $7.6 billion, respectively. For the six months ended June 30, 2025 and 2026, total SBC expense was $11.5 billion and $15.2 billion, including amounts associated with awards we expect to settle in Alphabet stock of $11.1 billion and $14.1 billion, respectively.

Stock-Based Award Activities

The following table summarizes the activities for unvested Alphabet RSUs and performance stock units (PSUs), both of which include dividend equivalents awarded to holders of unvested stock, for the six months ended June 30, 2026 (in millions, except per share amounts):

	Number of Shares	Weighted-Average Grant-Date Fair Value
Unvested as of December 31, 2025	282	$ 159.75
Granted	114	$ 292.21
Vested	(86)	$ 165.35
Forfeited/canceled	(16)	$ 180.00
Unvested as of June 30, 2026	294	$ 208.46

As of June 30, 2026, there was $59.1 billion of unrecognized compensation cost related to unvested RSUs and PSUs. This amount is expected to be recognized over a weighted-average period of 2.7 years.

Note 14. Income Taxes

The following table presents provision for income taxes (in millions, except for effective tax rate):

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2026	2025	2026
Income before provision for income taxes	$ 33,933	$ 138,753	$ 75,722	$ 216,165
Provision for income taxes	$ 5,737	$ 26,560	$ 12,986	$ 41,394
Effective tax rate	16.9 %	19.1 %	17.1 %	19.1 %

We are subject to income taxes in the US and foreign jurisdictions. Significant judgment is required in evaluating our uncertain tax positions and determining our provision for income taxes. The total amount of gross unrecognized tax benefits was $11.5 billion and $12.1 billion, of which $9.7 billion and $10.3 billion, if recognized, would affect our effective tax rate, as of December 31, 2025 and June 30, 2026, respectively.

Note 15. Information about Segments and Geographic Areas

We report our segment results as Google Services, Google Cloud, and Other Bets:

- Google Services includes products and services such as ads, Android, Chrome, devices, Google Maps, Google Play, Search, and YouTube. Google Services generates revenues primarily from advertising; fees received for consumer subscription-based products such as YouTube TV, YouTube Music and Premium, and NFL Sunday Ticket, as well as Google One; the sale of apps and in-app purchases; and devices.
- Google Cloud includes infrastructure and platform services, applications, and other products and services for enterprise customers. Google Cloud generates services revenues primarily from consumption-based fees and subscriptions received for Google Cloud Platform services, Google Workspace communication and collaboration tools, and other enterprise services. Google Cloud generates product revenues primarily from the sale of TPU systems.
- Other Bets is a combination of multiple operating segments that are not individually material. Revenues from Other Bets are generated primarily from the sale of autonomous transportation services and internet services.

Q2 award note: compensation expense, outstanding awards and unrecognized cost. Awards remain in operating earnings; cash funding and share dilution receive distinct treatment. Source: original issuer source, 2026-07-23, PDF page 40. Original image labels and units are preserved.

Cash bridge mechanics and what remains incomplete

Cash component	Treatment / accounting boundary
Operating generation	OP plus PPE D&A, source intangible amortization and SBC addback; award cash subtracted separately.
Cash tax / interest	Cash tax = 21% x max(0, OP - USD 1,278 million quarterly interest proxy); the interest cash proxy is also paid once below OP.
Working capital	10% x four times positive sequential ordinary revenue growth; no decline release. Recognition can precede collection.
Cash capex	Full original spending schedule under both conversion outcomes. June CIP already spent.
Android accrual	USD 5,200 million paid in July once; previously recognized fine, no second OP charge.
Debt / finance leases	Known USD 2,000 million principal in Q4 2026; gross lease-payment envelope. Other maturities not fully allocated.
Common / preferred dividends	Source-based flat cash convention; preferred conversion affects common cash base once.
Private-company funding	65% of USD 20,000 million gives USD 13,000 million expected cash through 2030; no added OP.
GFiber disposition	80% late-2026 / 15% mid-2027 / 5% no-close; expected cash USD 1,425 million.

The quarterly interest expense proxy is not verified paid cash. Capitalized interest is not deducted a second time because capex may already contain it. The gross finance-lease envelope can overlap the interest proxy by its included interest; this is a conservative envelope, not an exact principal-only schedule. Other debt maturities, future facilities and contingencies remain incomplete.

Reported purchase commitments, supply/energy/content minimums, leases, backstops and guarantees cover overlapping scopes and different periods. They are not blindly summed as current debt, a new annual capex bill or guaranteed useful cash. No covenant-compliance or funded-growth conclusion follows from the schedule.

Trailing Twelve Months Free Cash Flow*

in Millions, except Percentages; unaudited

	Q2'25	Q3'25	Q4'25	Q1'26	Q2'26	Q2'26 Y/Y
Net cash provided by operating activities	27,747	48,414	52,402	45,790	39,069	41%
Purchases of property and equipment	(22,446)	(23,953)	(27,851)	(35,674)	(44,924)	100%
Free Cash Flow	$5,301	$24,461	$24,551	$10,116	($5,855)	NM**
Trailing Twelve Months Free Cash Flow	$66,728	$73,552	$73,266	$64,429	$53,273	-20%

*Non-GAAP measure. See following slide for reconciliation of GAAP to Non-GAAP measures

**NM = Not Meaningful

Q2 cash-flow and capital-spending slide. Actual free cash flow was negative in Q2; the forward cash path is a separate illustrative model rather than issuer guidance. Source: original issuer source, 2026-07-22, PDF page 11. Original image labels and units are preserved.

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Conditional investments and GFiber have bounded cash treatment

The private-company funding commitment is milestone dependent. The model assigns a 65% full-funding probability, producing USD 13,000 million expected cash outflow across 2027-2030. A full-funding stress replaces that with a total USD 20,000 million; a zero-funding case removes the expected outflow. Neither changes revenue or OP, and neither adds another whole customer order.

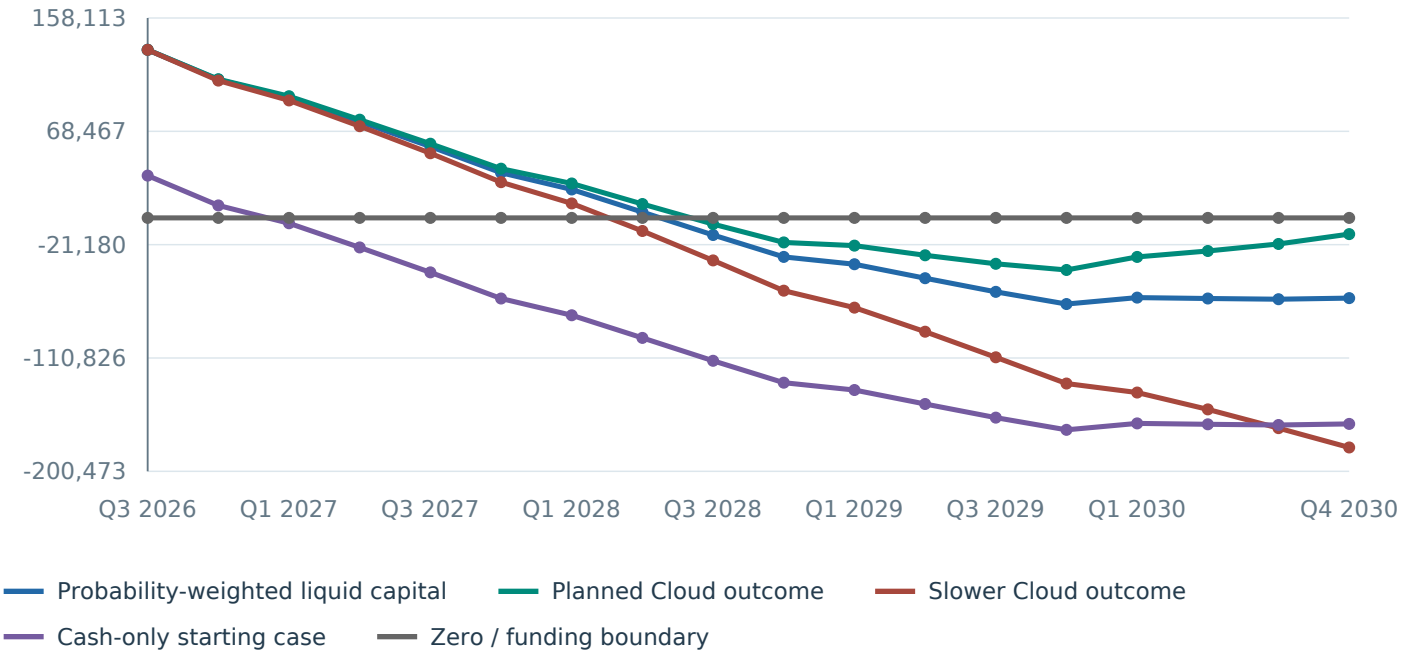
GFiber was held for sale with depreciation ceased. Conditional terms include USD 1,500 million cash, a USD 2,000 million note and a retained equity interest of about 50%. The model grants only probability-weighted cash of USD 1,200 million in Q4 2026 and USD 225 million in Q2 2027. It adds no instant cash for the note/equity and no sale gain to the operating target.

The future Other Bets USD 400 / 500 million quarterly revenue path is a LOW remaining, Waymo and residual aggregate. The company does not disclose separate GFiber quarterly revenue and OP needed for a standalone removal bridge, so no profit release is fabricated.

Funding paths: liquidity needs remain visible

Illustrative liquid capital and funding needs

USD million; negative values indicate modeled funding need



Future model, not actual cash. Starts with June liquid-capital proxy, excludes restricted equities and assumes no new funding. Before incompletely allocated debt maturities/contingencies; negative observations and zero line are retained.

Quarter	Weighted	Planned Cloud	Slower Cloud	Cash-only start	Zero
Q3 2026	132,942	132,940	132,949	33,442	0
Q4 2026	109,354	109,674	108,609	9,854	0
Q1 2027	95,244	96,244	92,910	-4,256	0
Q2 2027	76,128	77,677	72,516	-23,372	0
Q3 2027	56,411	58,673	51,132	-43,089	0
Q4 2027	35,721	38,922	28,251	-63,779	0
Q1 2028	22,479	27,211	11,436	-77,021	0
Q2 2028	4,572	10,970	-10,358	-94,928	0
Q3 2028	-13,530	-4,912	-33,640	-113,030	0
Q4 2028	-30,858	-19,408	-57,576	-130,358	0
Q1 2029	-36,660	-21,944	-70,998	-136,160	0

Quarter	Weighted	Planned Cloud	Slower Cloud	Cash-only start	Zero
Q2 2029	-47,715	-29,580	-90,031	-147,215	0
Q3 2029	-58,500	-36,312	-110,270	-158,000	0
Q4 2029	-68,146	-41,197	-131,028	-167,646	0
Q1 2030	-63,058	-30,876	-138,149	-162,558	0
Q2 2030	-63,769	-26,182	-151,473	-163,269	0
Q3 2030	-64,331	-20,626	-166,309	-163,831	0
Q4 2030	-63,462	-12,832	-181,600	-162,962	0

Cash scenario	Minimum proxy	Quarter	Horizon end
Weighted	-68,146	Q4 2029	-63,462
planned delivery and paid use	-41,197	Q4 2029	-12,832
half growth conversion	-181,600	Q4 2030	-181,600
Cash-only start	-167,646	Q4 2029	-162,962

Working-capital improvement, capex pacing, debt, equity or asset monetization could address a funding need. No price, availability, dilution, collateral capacity or timing is guaranteed here. The 20x OP ceiling stays conditional rather than receiving hypothetical cash proceeds. A funding solution that changes operating capacity or share economics would require a new bounded model.

Every quarterly cash-generation observation

Quarter	OP	PPE D&A addback	Intangible addback	SBC addback	Net award cash	Tax	Interest
Q3 2026	44,641	7,485	374	8,426	6,960	9,106	1,278
Q4 2026	50,643	8,742	374	9,258	7,648	10,367	1,278
Q1 2027	45,079	10,475	326	9,118	7,532	9,198	1,278
Q2 2027	47,317	12,271	326	9,732	8,040	9,668	1,278
Q3 2027	51,107	13,992	326	10,347	8,547	10,464	1,278
Q4 2027	56,869	15,717	326	11,330	9,359	11,674	1,278
Q1 2028	50,774	17,546	286	11,057	9,134	10,394	1,278
Q2 2028	55,674	19,464	286	11,785	9,735	11,423	1,278
Q3 2028	61,089	21,452	286	12,578	10,390	12,560	1,278
Q4 2028	69,831	23,537	286	13,741	11,351	14,396	1,278
Q1 2029	60,521	25,684	274	13,402	11,071	12,441	1,278
Q2 2029	66,357	27,804	274	14,252	11,773	13,667	1,278
Q3 2029	72,701	30,002	274	15,169	12,531	14,999	1,278
Q4 2029	83,432	32,378	274	16,577	13,694	17,252	1,278
Q1 2030	72,896	34,818	264	16,183	13,368	15,040	1,278
Q2 2030	79,597	37,215	264	17,156	14,172	16,447	1,278
Q3 2030	86,807	39,689	264	18,195	15,031	17,961	1,278
Q4 2030	98,944	42,354	264	19,783	16,342	20,510	1,278

All financial figures are USD million. Award cash, tax and interest are cash uses; D&A and SBC addbacks are noncash adjustments to the already-costed OP. These distinct scopes are retained. The tax and interest rows are LOW forward cash proxies.

Every quarterly capital, working-capital and funding observation

Quarter	Cash capex	WC use	Common dividend	Preferred dividend	Android cash	Debt principal	Finance lease
Q3 2026	55,000	2,822	2,691	234	5,200	0	103
Q4 2026	64,402	5,016	2,691	301	0	2,000	103
Q1 2027	57,200	0	2,691	301	0	0	97
Q2 2027	62,400	3,700	2,691	301	0	0	97
Q3 2027	67,600	3,700	2,691	301	0	0	97
Q4 2027	72,800	5,920	2,691	301	0	0	97
Q1 2028	68,200	0	2,691	301	0	0	94
Q2 2028	74,400	4,380	2,691	301	0	0	94
Q3 2028	80,600	4,780	2,691	301	0	0	94
Q4 2028	86,800	7,000	2,691	301	0	0	94
Q1 2029	77,000	0	2,691	301	0	0	89
Q2 2029	84,000	5,120	2,703	301	0	0	89
Q3 2029	91,000	5,520	2,703	0	0	0	89
Q4 2029	98,000	8,480	2,703	0	0	0	89
Q1 2030	85,800	0	2,703	0	0	0	71
Q2 2030	93,600	5,860	2,703	0	0	0	71
Q3 2030	101,400	6,260	2,703	0	0	0	71
Q4 2030	109,200	9,560	2,703	0	0	0	71

Quarter	Private funding cash use	Expected GFiber cash	Net cash change	Closing liquid-capital proxy
Q3 2026	0	0	-22,469	132,942
Q4 2026	0	1,200	-23,588	109,354
Q1 2027	812	0	-14,110	95,244
Q2 2027	812	225	-19,115	76,128
Q3 2027	812	0	-19,717	56,411

Quarter	Private funding cash use	Expected GFiber cash	Net cash change	Closing liquid-capital proxy
Q4 2027	812	0	-20,690	35,721
Q1 2028	812	0	-13,242	22,479
Q2 2028	812	0	-17,907	4,572
Q3 2028	812	0	-18,102	-13,530
Q4 2028	812	0	-17,328	-30,858
Q1 2029	812	0	-5,802	-36,660
Q2 2029	812	0	-11,055	-47,715
Q3 2029	812	0	-10,785	-58,500
Q4 2029	812	0	-9,647	-68,146
Q1 2030	812	0	5,089	-63,058
Q2 2030	812	0	-711	-63,769
Q3 2030	812	0	-561	-64,331
Q4 2030	812	0	869	-63,462

Private-company funding in the main case is the expected USD 13,000 million total outflow. The full-funding case replaces it with a total USD 20,000 million. Closing balances remain before unknown additional debt maturities and contingencies.

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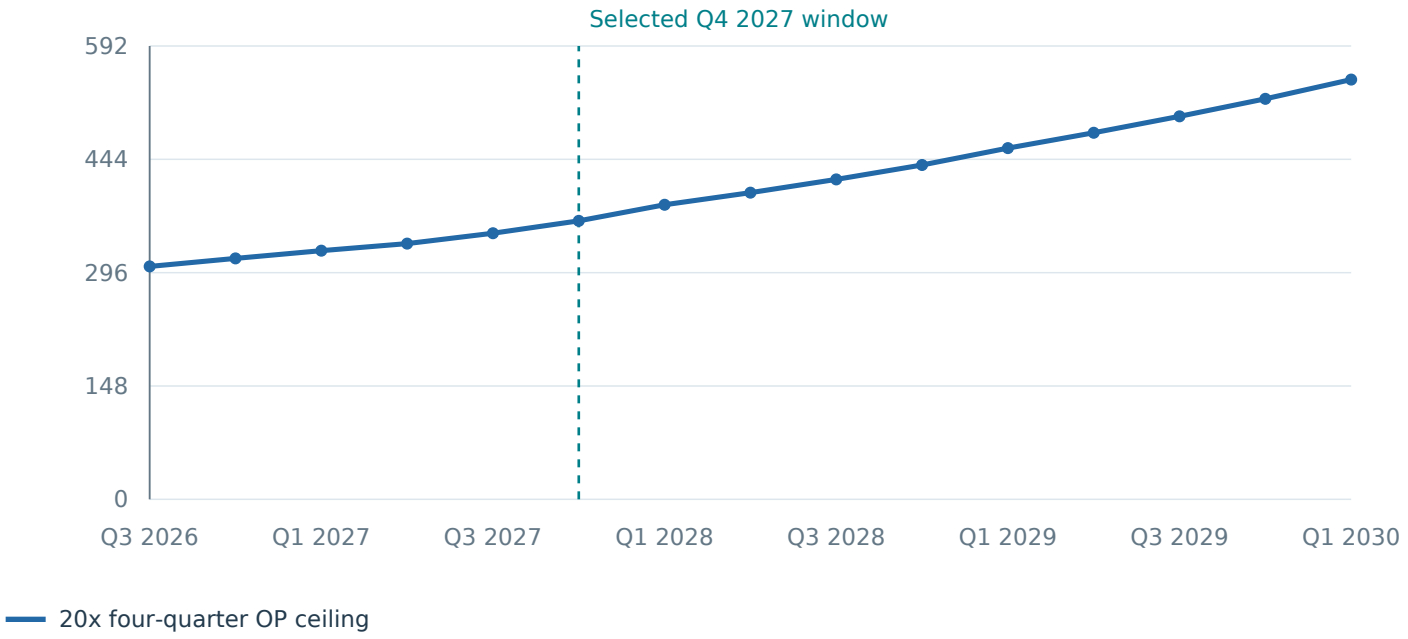
Rolling valuation method and selected quarter

Each valuation quarter uses its own operating profit and the next three quarters. Sum the four exact USD-million OP terms, multiply by USD 1,000,000 and by 20, then divide by the starting-quarter common-equivalent share proxy. There is no added stake value, debt adjustment, risk multiplier or separate sum-of-parts valuation. All displayed constituents are rounded while the exact model controls the arithmetic.

Q4 2027 is the selected valuation quarter for reviews dated October through December 2026. Its earnings window is Q4 2027 through Q3 2028. A later horizon roll changes the earnings window separately from an assumption change.

All fifteen operating-profit ceilings

USD per common-equivalent share



Conditional model ceilings under the same 20x method and starting-quarter share convention. Execution and funding remain required. No current-price upside or ranking is shown.

Valuation quarter	Four-quarter OP	OP x	Proxy shares	USD ceiling
Q3 2026	187,680	20	12,347,458,250	304
Q4 2026	194,146	20	12,347,458,250	314
Q1 2027	200,372	20	12,347,458,250	325
Q2 2027	206,067	20	12,347,458,250	334
Q3 2027	214,424	20	12,347,458,250	347
Q4 2027	224,405	20	12,347,458,250	363
Q1 2028	237,367	20	12,347,458,250	384
Q2 2028	247,115	20	12,347,458,250	400
Q3 2028	257,798	20	12,347,458,250	418
Q4 2028	269,411	20	12,347,458,250	436
Q1 2029	283,012	20	12,347,458,250	458
Q2 2029	295,387	20	12,347,458,250	478
Q3 2029	308,626	20	12,347,458,250	500
Q4 2029	322,732	20	12,347,458,250	523
Q1 2030	338,244	20	12,347,458,250	548

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Valuation derivation: Q3 2026

Constituent earnings quarter	Revenue	Gross profit	Opex	OP
Q3 2026	126,850	77,319	32,678	44,641
Q4 2026	139,403	85,367	34,724	50,643
Q1 2027	137,316	81,706	36,627	45,079
Q2 2027	146,524	85,462	38,145	47,317

Four-quarter OP	USD unit scale	OP x	Proxy shares	USD / share
187,680	1,000,000	20	12,347,458,250	304

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Valuation derivation: Q4 2026

Constituent earnings quarter	Revenue	Gross profit	Opex	OP
Q4 2026	139,403	85,367	34,724	50,643
Q1 2027	137,316	81,706	36,627	45,079
Q2 2027	146,524	85,462	38,145	47,317
Q3 2027	155,773	90,762	39,655	51,107

Four-quarter OP	USD unit scale	OP x	Proxy shares	USD / share
194,146	1,000,000	20	12,347,458,250	314

Valuation derivation: Q1 2027

Constituent earnings quarter	Revenue	Gross profit	Opex	OP
Q1 2027	137,316	81,706	36,627	45,079
Q2 2027	146,524	85,462	38,145	47,317
Q3 2027	155,773	90,762	39,655	51,107
Q4 2027	170,574	98,809	41,940	56,869

Four-quarter OP	USD unit scale	OP x	Proxy shares	USD / share
200,372	1,000,000	20	12,347,458,250	325

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Valuation derivation: Q2 2027

Constituent earnings quarter	Revenue	Gross profit	Opex	OP
Q2 2027	146,524	85,462	38,145	47,317
Q3 2027	155,773	90,762	39,655	51,107
Q4 2027	170,574	98,809	41,940	56,869
Q1 2028	166,475	94,829	44,055	50,774

Four-quarter OP	USD unit scale	OP x	Proxy shares	USD / share
206,067	1,000,000	20	12,347,458,250	334

Valuation derivation: Q3 2027

Constituent earnings quarter	Revenue	Gross profit	Opex	OP
Q3 2027	155,773	90,762	39,655	51,107
Q4 2027	170,574	98,809	41,940	56,869
Q1 2028	166,475	94,829	44,055	50,774
Q2 2028	177,430	101,825	46,151	55,674

Four-quarter OP	USD unit scale	OP x	Proxy shares	USD / share
214,424	1,000,000	20	12,347,458,250	347

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Selected valuation: Q4 2027

Constituent earnings quarter	Revenue	Gross profit	Opex	OP
Q4 2027	170,574	98,809	41,940	56,869
Q1 2028	166,475	94,829	44,055	50,774
Q2 2028	177,430	101,825	46,151	55,674
Q3 2028	189,385	109,480	48,392	61,089

Four-quarter OP	USD unit scale	OP x	Proxy shares	USD / share
224,405	1,000,000	20	12,347,458,250	363

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Valuation derivation: Q1 2028

Constituent earnings quarter	Revenue	Gross profit	Opex	OP
Q1 2028	166,475	94,829	44,055	50,774
Q2 2028	177,430	101,825	46,151	55,674
Q3 2028	189,385	109,480	48,392	61,089
Q4 2028	206,892	121,265	51,434	69,831

Four-quarter OP	USD unit scale	OP x	Proxy shares	USD / share
237,367	1,000,000	20	12,347,458,250	384

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Valuation derivation: Q2 2028

Constituent earnings quarter	Revenue	Gross profit	Opex	OP
Q2 2028	177,430	101,825	46,151	55,674
Q3 2028	189,385	109,480	48,392	61,089
Q4 2028	206,892	121,265	51,434	69,831
Q1 2029	201,725	114,030	53,509	60,521

Four-quarter OP	USD unit scale	OP x	Proxy shares	USD / share
247,115	1,000,000	20	12,347,458,250	400

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Valuation derivation: Q3 2028

Constituent earnings quarter	Revenue	Gross profit	Opex	OP
Q3 2028	189,385	109,480	48,392	61,089
Q4 2028	206,892	121,265	51,434	69,831
Q1 2029	201,725	114,030	53,509	60,521
Q2 2029	214,523	122,277	55,919	66,357

Four-quarter OP	USD unit scale	OP x	Proxy shares	USD / share
257,798	1,000,000	20	12,347,458,250	418

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Valuation derivation: Q4 2028

Constituent earnings quarter	Revenue	Gross profit	Opex	OP
Q4 2028	206,892	121,265	51,434	69,831
Q1 2029	201,725	114,030	53,509	60,521
Q2 2029	214,523	122,277	55,919	66,357
Q3 2029	228,320	131,177	58,475	72,701

Four-quarter OP	USD unit scale	OP x	Proxy shares	USD / share
269,411	1,000,000	20	12,347,458,250	436

Valuation derivation: Q1 2029

Constituent earnings quarter	Revenue	Gross profit	Opex	OP
Q1 2029	201,725	114,030	53,509	60,521
Q2 2029	214,523	122,277	55,919	66,357
Q3 2029	228,320	131,177	58,475	72,701
Q4 2029	249,516	145,545	62,113	83,432

Four-quarter OP	USD unit scale	OP x	Proxy shares	USD / share
283,012	1,000,000	20	12,347,458,250	458

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Valuation derivation: Q2 2029

Constituent earnings quarter	Revenue	Gross profit	Opex	OP
Q2 2029	214,523	122,277	55,919	66,357
Q3 2029	228,320	131,177	58,475	72,701
Q4 2029	249,516	145,545	62,113	83,432
Q1 2030	243,583	137,433	64,537	72,896

Four-quarter OP	USD unit scale	OP x	Proxy shares	USD / share
295,387	1,000,000	20	12,347,458,250	478

Valuation derivation: Q3 2029

Constituent earnings quarter	Revenue	Gross profit	Opex	OP
Q3 2029	228,320	131,177	58,475	72,701
Q4 2029	249,516	145,545	62,113	83,432
Q1 2030	243,583	137,433	64,537	72,896
Q2 2030	258,231	146,879	67,283	79,597

Four-quarter OP	USD unit scale	OP x	Proxy shares	USD / share
308,626	1,000,000	20	12,347,458,250	500

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Valuation derivation: Q4 2029

Constituent earnings quarter	Revenue	Gross profit	Opex	OP
Q4 2029	249,516	145,545	62,113	83,432
Q1 2030	243,583	137,433	64,537	72,896
Q2 2030	258,231	146,879	67,283	79,597
Q3 2030	273,877	156,980	70,174	86,807

Four-quarter OP	USD unit scale	OP x	Proxy shares	USD / share
322,732	1,000,000	20	12,347,458,250	523

Valuation derivation: Q1 2030

Constituent earnings quarter	Revenue	Gross profit	Opex	OP
Q1 2030	243,583	137,433	64,537	72,896
Q2 2030	258,231	146,879	67,283	79,597
Q3 2030	273,877	156,980	70,174	86,807
Q4 2030	297,773	173,229	74,284	98,944

Four-quarter OP	USD unit scale	OP x	Proxy shares	USD / share
338,244	1,000,000	20	12,347,458,250	548

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Numerical probability and overlap ledger

Signal	Probability / outcome	Incremental economics	Overlap / timing
Cloud paid conversion	70% planned / 30% half-growth.	Weighted hosted and customer-owned system sales and corresponding variable costs; full fixed costs paid.	Current foundation intact; 100% backlog overlap.
Argon	50%; 1% hosted cohort, 25% realized premium.	Paid compute and support; selected OP about USD 16 million.	50% overlap; first partial quarter, expires after 2028.
TorchTPU	60%; 8% cohort, 5% acceleration.	Paid serving, opex, engineering and support; selected OP about USD 41 million.	75% overlap; finite through 2028.
Ad-tech remedy	65% fee case / 75% compliance budget.	10% Network wallet x 8% conditional fee pressure; traffic cost retained.	Q2 2027 onward; no whole-Search divestiture.
Temporary bridge rent	100% committed cost; timing LOW.	USD 5,800 million across four quarters; no added customer sales.	Q3 2026-Q2 2027 allocation; extension separate.
Power support	70%, linked to Cloud conversion.	Zero independent revenue / OP.	100% financial overlap; BKH and AEP may overlap physically.
Private-company funding	65% of full USD 20,000 million.	USD 13,000 million expected cash, zero OP.	2027-2030; full and zero cash tests.
GFiber	80% late 2026 / 15% mid-2027 / 5% no-close.	Expected USD 1,425 million cash only.	No note/equity target addition or invented standalone profit removal.

Every probability, paid eligible cohort, recognition schedule and residual overlap is an analytical judgment. Source announcements establish dated evidence; they do not turn these percentages into reported facts. Financial overlap is resolved before profit is added.

All twenty-eight controlled diagnostics

These bounded tests change the specified assumptions rather than adding another probability-weighted target. First / selected / later values are USD per common-equivalent share. Whole-number display can hide small effects; the next table identifies the largest affected window from the full fifteen-window path.

Controlled case	Q3 2026 window	Q4 2027 window	Q1 2030 window
Planned Cloud conversion 100%	309	379	599
Half-growth conversion 100%	292	328	429
No Argon residual	304	363	548
No Torch residual	304	363	548
Argon probability 100%	304	364	548
Torch probability 100%	304	364	548
Q2 hardware calibration zero	300	359	539
Q2 hardware calibration USD 2,000 million	308	369	558
Forward hardware gross margin 20%	303	359	542
Forward hardware gross margin 30%	305	368	554
Existing-asset retirement zero	303	359	539
Existing-asset retirement 10%	305	368	555
Same rent over six months	304	363	548
Rent renewed for one year	304	356	548
Hardware acceptance delayed one quarter	301	362	547
Opening CIP with more servers	301	358	543
Building life 20 years	304	361	540
Building life 40 years	304	365	552
Future cash capex 20% higher	303	354	512
Capacity and growth four quarters late	293	359	515
Hosted prices 10% lower; same traffic cost	284	335	487
Minimum preferred conversion	304	364	548

Controlled case	Q3 2026 window	Q4 2027 window	Q1 2030 window
Current-issued common basis sensitivity	302	361	544
Cash-only starting balance	304	363	548
Private funding full USD 20,000 million	304	363	548
No GFiber cash closing	304	363	548
Residual uncommenced lease cost	303	362	546
No conditional private funding cash	304	363	548

Diagnostics: nearer and later maximum effects

Controlled case	Largest affected window	USD / share	Signed change	Minimum cash proxy
Planned Cloud conversion 100%	Q1 2030	599	+9%	-41,197
Half-growth conversion 100%	Q1 2030	429	-22%	-181,600
No Argon residual	Q1 2028	384	Down less than 1%	-68,172
No Torch residual	Q3 2026	304	Up less than 1%	-68,162
Argon probability 100%	Q1 2028	385	Up less than 1%	-68,121
Torch probability 100%	Q3 2026	304	Down less than 1%	-68,136
Q2 hardware calibration zero	Q1 2030	539	-2%	-76,935
Q2 hardware calibration USD 2,000 million	Q1 2030	558	+2%	-58,771
Forward hardware gross margin 20%	Q4 2027	359	-1%	-74,156
Forward hardware gross margin 30%	Q4 2027	368	+1%	-62,137
Existing-asset retirement zero	Q1 2030	539	-2%	-66,257
Existing-asset retirement 10%	Q4 2029	530	+1%	-69,904
Same rent over six months	Q1 2027	329	+1%	-68,146
Rent renewed for one year	Q3 2027	338	-3%	-72,728
Hardware acceptance delayed one quarter	Q1 2027	320	-1%	-71,503
Opening CIP with more servers	Q2 2027	328	-2%	-65,954
Building life 20 years	Q1 2030	540	-1%	-67,012
Building life 40 years	Q1 2030	552	+1%	-68,714
Future cash capex 20% higher	Q1 2030	512	-7%	-315,835
Capacity and growth four quarters late	Q4 2028	406	-7%	-230,042
Hosted prices 10% lower; same traffic cost	Q1 2030	487	-11%	-146,491
Minimum preferred conversion	Q1 2027	325	Up less than 1%	-68,146
Current-issued common basis sensitivity	Q3 2026	302	-1%	-68,146
Cash-only starting balance	Q3 2026	304	0%	-167,646

Controlled case	Largest affected window	USD / share	Signed change	Minimum cash proxy
Private funding full USD 20,000 million	Q3 2026	304	0%	-73,396
No GFiber cash closing	Q3 2026	304	0%	-69,571
Residual uncommenced lease cost	Q1 2027	323	Down less than 1%	-70,166
No conditional private funding cash	Q3 2026	304	0%	-58,396

A finite Argon or Torch effect disappears from 2030 windows because the explicit cohort expires after 2028. Rent shifted into earlier quarters can leave the selected window unchanged while affecting nearer windows. Cash-only tests deliberately leave OP and all ceilings unchanged. Complete eighteen-quarter and fifteen-window diagnostic paths remain in the model companion.

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Diagnostic boundaries that determine interpretation

Test family	What changes	What remains paid / constrained
Cloud conversion	100% planned or 100% half-growth.	Current foundation, original capital, owned D&A, fixed overhead and committed rental cost.
Hardware calibration	Q2 split zero / USD 2,000 million.	Reported actual Cloud total revenue and OP remain exact; only unreported host allocation recalibrates.
Hardware margin / acceptance	20% / 30% gross margin, or one-quarter delayed recognition.	Manufacturing follows sales; original support/readiness budget remains paid on schedule.
Capital timing	Different retirements, CIP mix, building lives, 20% higher future capex.	No free additional customer revenue from a cash-spending shock.
Four-quarter capacity delay	Both asset readiness and unconverted Cloud growth / system sales delayed.	Original capex cash, paid fixed overhead and lease costs remain.
Hosted price compression	10% lower hosted price with physical traffic and costs unchanged.	SBC, award-cash and WC scale from original activity; lost sales already flow through OP, with no second cash debit.
Shares	Preferred low conversion or current-issued common sensitivity.	No double preferred conversion or addition of gross awards to treasury-method awards.
Uncommenced leases	10% of USD 85,200 million spread over 20 quarters; 50% ordinary-cost overlap removed.	USD 213 million extra quarterly cost in 2027-2030; LOW stress, not an observed commencement schedule.
Conditional cash	Full / zero private funding, cash-only start, no GFiber closing.	No new OP, customer revenue, automatic facility draw or note/equity sale.

Changing the Torch probability in these diagnostics removes or increases its matching engineering and support outcome weight as specified. Ordinary adopted TPU demand and paid infrastructure remain in the reference Cloud path.

Analytical score and protected Excel Base

Category	Points / maximum	Assessment
Core thesis	19 / 20	Distribution, product integration, model/TPU software and enterprise reach support capture, with powerful competitors.
Cycle stage	9 / 10	Cloud demand and backlog strong; conversion and fixed-cost-heavy activation still constrain the earnings ramp.
TAM expansion	10 / 10	AI hosted workloads, software and external systems broaden the wallet; split each paid flow and remove overlap.
Catalysts	5 / 5	October28 print, hardware acceptance/backlog conversion, capacity and TorchTPU/Argon paid economics.
Macro	9 / 10	AI/cloud demand remains supportive while financing, supply and energy costs absorb capital.
Alpha	3 / 5	Differentiate hardware from rental margins, committed bridge costs, depreciation readiness and source-level dilution.
Risks	5-point deduction	Monetization 1; capacity, financing and expense execution 2; competition and customer concentration 1; regulation and governance 1.

The positive categories sum to 55. The 5-point risk deduction leaves 50 out of 60, or 83 out of 100 after whole-number rounding. The protected Excel Base remains 88. Analytical scoring, owner-controlled Excel Base and numerical event probabilities are separate controls.

Risk deductions cover monetization, capacity and financing execution, competitive/customer concentration and regulatory/governance exposure. The current cost and cash paths prevent a strong demand assessment from being mistaken for a fully financed expansion.

Disconfirming evidence and the next tracked triggers

Assumption	Evidence that would weaken it	Next tracked evidence
Paid AI conversion	Usage or backlog fails to produce recognized profitable sales.	28 October Q3 results; cloud consumption, delivered systems and backlog scope.
Hardware capture	Acceptance delays, inventory build or manufacturing / warranty cost exceeds proxy.	Reported system timing, inventories, cost commentary and customer deployments.
Hosted retained profit	Realized prices fall or rental/power cost remains elevated.	Cloud margin, bridge duration and capacity readiness.
Services monetization	Commercial query value weakens or content / distribution cost rises.	Search price / volume, AI ad outcomes and revenue versus serving costs.
Capital return	D&A or cash spending grows faster than useful paid capacity.	Asset-in-service balances, actual spend and source life / readiness revisions.
Funding	Working capital, award cash, milestones or maturities exceed capacity.	Updated cash/debt schedules, ATM execution, financing terms and actual settlements.
Competition	Customers adopt rival models, hardware or lower-cost portability.	Renewals, pricing and qualified alternative platforms.
Regulatory scope	Court implementation expands fee, interoperability or distribution pressure.	Final remedy, appeal/compliance records and attributable economics.

A stronger case requires paid customer use, accepted systems and retained cash generation sufficient to support the capital path. A weaker case can arise even with rapid AI adoption if costs, pricing, collection or financing absorb the value. No hypothetical funding source or investment gain repairs those economics automatically.

Source register and material completeness gaps

Primary source	Date	Review / scope
Official Q2 2026 Form 10-Q, signed July22; SEC accepted July22 21:15:54	2026-07-23	All 65 PDF pages read; financial statement notes, risk and legal updates, MD&A, exhibits/signatures
Official Q2 2026 earnings release	2026-07-22	Complete release read; reconciled to filed Q2 10-Q
Official Q2 2026 earnings slides	2026-07-22	All 12 slides read; original figure sources
Official Q2 2026 full earnings-call transcript	2026-07-22	All 27 pages read, prepared remarks, all questions/management answers, closing; pdfplumber repaired extraction spacing only; original unchanged; official audio not independently listened to
Official Q1 2026 full earnings-call transcript	2026-04-29	All 24 pages read, prepared remarks, all questions/management answers, closing; official audio not independently listened to
Official FY2025 Form 10-K	2026-02-05	Targeted full Competition section and cost/supply/asset-life accounting pages read; not represented as a new 99-page full read
Official Alphabet investor presentation	2026-06-02	All48pages read; June guide180-190B is superseded byJuly195-205B, retain source date
Official upsize/pricing release, URL/file datedJune3; document datelineJune2	2026-06-02	Full four-page source read; exact depositary versus underlying conversion units verified
Google official TorchTPU release	2026-10-20	Entire material article read; technical adoption evidence; no disclosed paid order amount
Google official Gemini4Argon launch and pricing	2026-10-13	Full material article read, introductory2/10 then4/20 USDperMtokens Dec1;95%cachedinputdiscount; selective access/free scientist tier; no paid token denominator
AEP official Google702MW fuel-cellPPA	2026-10-14	Full release read; 20yearPPA, expectedfullyoperationalend2028; tiedtoCheyenne/BKHproject
USDOJ official ad-tech remedies announcement	2026-09-16	Full operative announcement read; behavioral integrations/data/monitor; litigant announcement, final court opinion not downloaded
USDOJ filed second Search final-judgment compliance status report	2026-09-17	Supporting original retrieved; case status primary evidence, not a claim that every legal appendix has been fully analyzed

All original accessible PDFs, source hashes and the full 31-image mapping are retained. Official newest-two call transcripts were fully read through prepared remarks, Q&A and closing. Their original audio remains unlistened. A transcription unit error is reconciled to the filing, rather than treated as a new fact.

Material gaps remain in TPU product revenue, units, ASP, manufacturing/warranty and service margins, customer acceptance schedules, host-versus-frontier resource use, exact short-lease term, future capital budgets and commissioning mix, net IT power availability and price, post-June share/ATM/award behavior, complete debt/lease maturities, conditional funding timing, final legal implementation and GFiber standalone profit.

Q3 2026 has not been reported at this research cutoff. Source charts preserve their dates and decimal labels as original evidence. New tables use whole-number displays; exact model inputs and full paths control all calculations.